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CHAPTER ONE

Concepts and Principles of Development Economics

Introduction

The Economics of Development refers to the problems of the economic development of underdeveloped countries. Though the study of economic development has attracted the attention of economist's right from Adam Smith down to Marx and Keynes, yet they were mainly interested in the problems which were essentially static in nature and largely related to a Western European framework of social and cultural institutions. It is, however, in the 20th century and especially after the Second World War that economists started devoting their attention towards analyzing the problems of underdeveloped countries and formulating theories and models of development and growth.

Interest in the economics of development has been further stimulated by the wave of political resurgence that swept the Asian and African nations as they threw off the colonial yoke after the Second World War. The desire on the part of new leaders in these countries to promote rapid economic development coupled with the realization on the part of the developed nations that **'poverty anywhere is a threat to prosperity everywhere,'** has aroused further interest in the subject.

However, a study of the poverty of nations and the methods of removing poverty cannot be based on the experience of the rich nations, for in the advanced countries there has been a tendency to take economic development for granted-as something that takes care of itself and to concentrate on the short-term oscillations of the economy. Therefore, Myrdal says that the underdeveloped countries should not accept our inherited economic theory uncritically but remold it to fit their own problems and interests.

Objectives

After studying this unit, you will be able to

- Explain the subject matter, Development Economics
- Explain the meaning of economic growth and development
- Understand the challenges of development
- Describe the magnitude of development gap

- Explain the measurements of growth, development, poverty and inequality

1.1. Scope and nature of development Economics

The study of economic development is one of the newest, most exciting, and most challenging branches of the broader disciplines of economics and political economy. Although one could claim that Adam Smith was the first “development economist” and that his *Wealth of Nations*, published in 1776, was the first treatise on economic development, the systematic study of the problems and processes of economic development in Africa, Asia, and Latin America has emerged only over the past five decades or so. Although development economics often draws on relevant principles and concepts from other branches of economics in either a standard or modified form, for the most part it is a field of study that is rapidly evolving its own distinctive analytical and methodological identity.

The Nature of Development Economics

Traditional Economics

Traditional economics is concerned primarily with the efficient, least-cost allocation of scarce productive resources and with the optimal growth of these resources over time so as to produce an ever-expanding range of goods and services. Traditional neoclassical economics deals with an advanced capitalist world of perfect markets; consumer sovereignty; automatic price adjustments; decisions made on the basis of marginal, private-profit, and utility calculations; and equilibrium outcomes in all product and resource markets. It assumes economic “rationality” and a purely materialistic, individualistic, self-interested orientation toward economic decision making.

Political Economy

Political economy goes beyond traditional economics to study, among other things, the social and institutional processes through which certain groups of economic and political elites influence the allocation of scarce productive resources now and in the future, either for their own benefit exclusively or for that of the larger population as well. Political economy is therefore concerned with the relationship between politics and economics, with a special emphasis on the role of power in economic decision making.

Development Economics

Development economics has an even greater scope. In addition to being concerned with the efficient allocation of existing scarce (or idle) productive resources and with their sustained growth over time, it must also deal with the economic, social, political, and institutional mechanisms, both public and private, necessary to bring about rapid (at least by historical standards) and large-scale improvements in levels of living for the peoples of Africa, Asia, Latin America, and the formerly socialist transition economies. Unlike the more developed countries (MDCs), in the less developed countries, most commodity and resource markets are highly imperfect, consumers and producers have limited information, major structural changes are taking place in both the society and the economy, the potential for multiple equilibria rather than a single equilibrium is more common, and disequilibrium situations often prevail (prices do not equate supply and demand). In many cases, economic calculations are dominated by political and social priorities such as unifying the nation, replacing foreign advisers with local decision makers, resolving tribal or ethnic conflicts, or preserving religious and cultural traditions. At the individual level, family, clan, religious, or tribal considerations may take precedence over private, self-interested utility or profit-maximizing calculations.

Thus development economics, to a greater extent than traditional neoclassical economics or even political economy, must be concerned with the economic, cultural, and political requirements for effecting rapid structural and institutional transformations of entire societies in a manner that will most efficiently bring the fruits of economic progress to the broadest segments of their populations. It must focus on the mechanisms that keep families, regions, and even entire nations in poverty traps, in which past poverty causes future poverty, and on the most effective strategies for breaking out of these traps. Consequently, a larger government role and some degree of coordinated economic decision making directed toward transforming the economy are usually viewed as essential components of development economics.

In recent years, activities of nongovernmental organizations, both national and international, have grown rapidly and are also receiving increasing attention.

Because of the heterogeneity of the developing world and the complexity of the development process, development economics must be eclectic, attempting to combine relevant concepts and theories from traditional economic analysis with new models and broader multidisciplinary approaches derived from studying the historical and contemporary development experience of

Africa, Asia, and Latin America. Development economics is a field on the crest of a breaking wave, with new theories and new data constantly emerging.

1.2. What Do We Mean by Development?

Because the term development may mean different things to different people, it is important that we have some working definition or core perspective on its meaning. Without such a perspective and some agreed measurement criteria, we would be unable to determine which country was actually developing and which was not. This will be our task for the remainder of the chapter and for our first country case study, Brazil, at the end of the chapter.

Traditional Economic Measures

In strictly economic terms, development has traditionally meant achieving sustained rates of growth of income per capita to enable a nation to expand its output at a rate faster than the growth rate of its population. Levels and rates of growth of “real” per capita gross national income (GNI) (monetary growth of GNI per capita minus the rate of inflation) are then used to measure the overall economic well-being of a population—how much of real goods and services is available to the average citizen for consumption and investment.

Economic development in the past has also been typically seen in terms of the planned alteration of the structure of production and employment so that agriculture’s share of both declines and that of the manufacturing and service industries increases. Development strategies have therefore usually focused on rapid industrialization, often at the expense of agriculture and rural development.

With few exceptions, such as in development policy circles in the 1970s, development was until recently nearly always seen as an economic phenomenon in which rapid gains in overall and per capita GNI growth would either “trickle down” to the masses in the form of jobs and other economic opportunities or create the necessary conditions for the wider distribution of the economic and social benefits of growth. Problems of poverty, discrimination, unemployment, and income distribution were of secondary importance to “getting the growth job done.” Indeed, the emphasis is often on increased output, measured by gross domestic product (GDP).

The New Economic View of Development

The experience of the 1950s and 1960s, when many developing nations did reach their economic growth targets but the levels of living of the masses of people remained for the most part unchanged, signaled that something was very wrong with this narrow definition of development. An increasing number of economists and policymakers demanded for more direct attacks on widespread absolute poverty, increasingly inequitable income distributions, and rising unemployment. In short, during the 1970s, economic development came to be redefined in terms of the reduction or elimination of poverty, inequality, and unemployment within the context of a growing economy. “Redistribution from growth” became a common slogan.

Development must therefore be conceived of as a multidimensional process involving major changes in social structures, popular attitudes, and national institutions, as well as the acceleration of economic growth, the reduction of inequality, and the eradication of poverty. Development, in its essence, must represent the whole gamut of change by which an entire social system, tuned to the diverse basic needs and evolving aspirations of individuals and social groups within that system, moves away from a condition of life widely perceived as unsatisfactory toward a situation or condition of life regarded as materially and spiritually better. No one has identified the human goals of economic development as well as Amartya Sen, perhaps the leading thinker on the meaning of development.

Amartya Sen’s “Capability” Approach

The view that income and wealth are not ends in themselves but instruments for other purposes goes back at least as far as Aristotle. Amartya Sen, the 1998 Nobel laureate in economics, argues that the “capability to function” is what really matters for status as a poor or nonpoor person. As Sen put it, “Economic growth cannot be sensibly treated as an end in itself. Development has to be more concerned with enhancing the lives we lead and the freedoms we enjoy.”

In effect, Sen argues that poverty cannot be properly measured by income or even by utility as conventionally understood; what matters fundamentally is not the things a person has—or the feelings these provide—but what a person is, or can be, and does, or can do. What matters for well-being is not just the characteristics of commodities consumed, as in the utility approach, but what use the consumer can and does make of commodities. For example, a book is of little value to an illiterate person (except perhaps as cooking fuel or as a status symbol). Or as Sen noted, a person

with parasitic diseases will be less able to extract nourishment from a given quantity of food than someone without parasites.

To make any sense of the concept of human well-being in general, and poverty in particular, we need to think beyond the availability of commodities and consider their use: to address what Sen calls functionings, that is, what a person does (or can do) with the commodities of given characteristics that they come to possess or control. Freedom of choice, or control of one's own life, is itself a central aspect of most understandings of well-being. As Sen explains:

The concept of “functionings” . . . reflects the various things a person may value doing or being. The valued functionings may vary from elementary ones, such as being adequately nourished and being free from avoidable disease, to very complex activities or personal states, such as being able to take part in the life of the community and having self-respect.

Sen identifies five sources of disparity between (measured) real incomes and actual advantages: **first**, personal heterogeneities, such as those connected with disability, illness, age, or gender; **second**, environmental diversities, such as heating and clothing requirements in the cold, infectious diseases in the tropics, or the impact of pollution; **third**, variations in social climate, such as the prevalence of crime and violence, and “social capital”; **fourth**, distribution within the family: Economic statistics measure incomes received in a family because it is the basic unit of shared consumption, but family resources may be distributed unevenly, as when girls get less medical attention or education than boys do. **Fifth**, differences in relational perspectives, meaning that

the commodity requirements of established patterns of behavior may vary between communities, depending on conventions and customs. For example, being relatively poor in a rich community can prevent a person from achieving some elementary “functionings” (such as taking part in the life of the community) even though her income, in absolute terms, may be much higher than the level of income at which members of poorer communities can function with great ease and success. For example, to be able to “appear in public without shame” may require higher standards of clothing and other visible consumption in a richer society than in a poorer one.

Sen then defines **capabilities** as “the freedom that a person has in terms of the choice of functionings, given his personal features (conversion of characteristics into functionings) and his command over commodities.” Sen’s perspective helps explain why development economists have placed so much emphasis on health and education and more recently on social inclusion and empowerment, and have referred to countries with high levels of income but poor health and education standards as cases of “growth without development.” Real income is essential, but to convert the characteristics of commodities into functionings, in most important cases, surely requires health and education as well as income.

For Sen, human “well-being” means being well, in the basic sense of being healthy, well nourished, well clothed, literate, and long-lived and more broadly, being able to take part in the life of the community, being mobile, and having freedom of choice in what one can become and can do.

According to world development report (1991) “the challenges of development is to improve the quality of life in the world’s poor countries. A better quality of requires:

- Higher income,
- Better education,
- Higher standards of health and nutrition,
- Less poverty,
- Cleaner environment,
- More equality and opportunity,
- Greater individual freedom,
- Richer cultural life.

Todaro’s Three Objectives of Development

1. Raising peoples’ living levels, i.e. incomes and consumption, levels of food, medical services, education through relevant growth processes
2. Creating conditions conducive to the growth of peoples’ self-esteem through the establishment of social, political and economic systems and institutions which promote human dignity and respect
3. Increasing peoples’ freedom to choose by enlarging the range of their choice variables, e.g. varieties of goods and services

1.3. The Current Interest in Development Economics

One of the most outstanding characteristics of the world economy in recent decades has been the growing inequality in the distribution of resources between different parts of the world. China, the most populous country in the world, has experienced economic growth at an unprecedented rate, and India has also made substantial progress.

Development economics attempts to explore some of the economic challenge's peculiar to some of the poorest countries in the world. We will investigate the factors that have led to this global inequality, and analyze some of the forms of market and government failure that may have contributed to the situation.

Development economics faces up to these questions, and shows you how to apply economic analysis in a variety of situations of global significance.

Development economics can draw on theory that you may have encountered in both micro and macro modules, and combine this with evidence from poorer countries.

The subject is of recent origin; it was about five decades ago.

The public and political concern for the poor nations is only recently increasing. There were factors which were not conducive for the emerging of the subject as a separate field of study pre-1950 s and there are some favourable circumstances. Some of them are explained here under.

Factors which were not favourable factors for the development of the subject pre1950 period

- In the 1930s advanced countries were caught up in and fully engaged in 'the great economic depression'
- In the 1940s countries were fighting world war two (WWII)
- The developing countries (Africa, Latin America and Asia) were caught up with stagnation and colonialism.

The favourable factors that helped the rise of the subject include:

- The recent renewed interest from academicians in the growth and development process of developing countries;
- Recently poor countries became aware of their backwardness and developed the desire to become strong through economic growth.

- The quest for New Economic Order (NEO) by these nations is a case in point. NEO is based on equity, sovereignty, equality and common interest among all nations and thus calls for:
 - ✓ Terms of trade improvement,
 - ✓ Access to markets of developed nations,
 - ✓ Greater financial assistance and cancelling of past debts.,
 - ✓ Reform on multinational financial institutions such as International Monetary Fund (IMF) and World Bank (WB).
- Increasing mutual interdependence of the world economy through trade and finance

1.4. Economic Growth and Development

The term economic development is used interchangeably with such terms as economic growth, economic welfare, economic progress and secular change. However, the term economic development has its own distinctive meanings and hence differs from terms such as economic growth.

Economic Growth is the process by which the productive capacity of an economy increases over time to bring about rising levels of national output and income. It refers basically to the rise in the value of the goods and services produced by an economy. It is conventionally measured as the percentage increase in real Gross Domestic Product (GDP) or Gross National Income (GNI). Economic growth is a mere quantitative expansion of the economy without structural changes. There can be economic growth without economic development. There are several countries that have achieved higher rates of economic growth without **improvement** in the income distribution and standards of living. For example, some oil exporting countries have achieved highest rates of national income (GDP) but without qualitative changes in their economy.

Economic Development on the other hand is a multi-dimensional process involving changes in individual behaviours, social structures, popular attitudes and national institutions. It is a process that includes the organization of economic, political and social systems. Simply stated, development refers to the process of improving the quality of life of all human lives. It is also a process that deals with the economic, social, political and institutional mechanisms, both public and private, as well as with improvements in levels of living for the poverty-stricken, malnourished, and illiterate. Overall, successful development requires both a skilful and judicious

balancing of market forces, and intelligent and equity-oriented government intervention in areas where market forces would lead to undesirable economic and political outcomes. Therefore, because of its multidisciplinary characteristics, development may mean different things to different people.

Economic development refers to the problems of underdeveloped countries and economic growth to those of advanced countries. Different scholars explain development differently. Some of them are discussed here under. According to Schumpeter,” Development is a discontinuous and spontaneous change in the stationary state, which forever alters and displaces the equilibrium state previously existing; while Growth is a gradual and steady change in the long run which comes about by a general increase in the rate of saving and population.”

According to Mrs. Ursula Hicks, the problem of underdeveloped countries are concerned with the development of unused resources, even though their uses are well known, while those advanced countries are related to economic growth most of their resources being already known and developed to a considerable extent. According to Kindle Berger, Economic development should include.... the eradication of mass poverty with its correlates of illiteracy, disease and early death; changes in the composition of input and output that generally include shifts in the underlying structure of production away from agricultural towards industrial activities, the organization of the economy in such a way that productive employment is general among working age population rather than the situation of the privileged minority; and the correspondingly greater participation of the broad groups in making decisions about the directions of economic and other activities to improve their welfare.

Economic development implies growth plus structural transformation. Economic growth can be attained in several ways but to have development there are limited ways.

Before the 1970 economic growth was considered to be equal to development because it was assumed that a gain in overall GDP would trickle down to the poor. During this period development was defined in terms of reduction and elimination of poverty, inequality and underemployment.

1.5. Core Values and Objectives of Development

According to Professor Goulet (1971), Development has three core values. These are: *life sustenance*, *self-esteem*, and *freedom from servitude*.

I. Life sustenance

It refers to the ability to meet the basic needs such as food, shelter, health minimal education and protection. In a condition where the basic needs are not met, we cannot say the country its fully developed despite its high GDP or income level. Efforts to meet these basic needs are known as the basic need approaches to development, which was initiated by World Bank.

II. Self esteem

It is concerned with the feeling of self-respect and independence or not being used as a tool by others. No country could be regarded as fully developed if others exploit it and does not have the power and influence to conduct relation on equal terms.

III. Freedom from servitude (to be able to choose)

It refers to the freedom from ignorance and poverty. Nobody is free if he /she cannot choose and is imprisoned by living at the margin of subsistence with no education and skill. Freedom also refers to political freedom including personal security, the rule of laws, freedom of expression and political participation on equal footing.

Similarly, the Professor explained that there are three major objectives of development. These are:

- To increase the availability and widen the distribution of basic life sustaining goods,
- To raise the level of living including more jobs, better education, greater attention to cultural and humanistic values and all of which serve to generate individual and national self-esteem,
- To expand the range of economic and social choice available to individuals and nations by freeing them from servitude.

1.6. Alternative development Indicators

Previously, economic development of any country was measured by gross national product and per capita income .However, other factors were completely ignored and only monetary or

economic aspect was given extreme importance. Among the developed alternative indicators, the major are;

1. the physical quality of life index (PQLI) developed by Morris (1979),
2. the Human Development Index (HDI) developed by UNDP, and
3. The Human Poverty Index.

Meaning of Physical Quality of Life Index

Quality of life refers to overall well-being of people of a country. It does not depend on economic factors but on socio-political factors like: Environment, Social Security, National Security, and Political Freedom and Overall

Physical Quality of Life Index (P.Q.L.I) was developed by famous economist Morris David in 1979 for 23 developed and developing countries. Morris David used the following three indicators to prepare a composite index known as Physical Quality of Life Index:

Life Expectant Rate

Average number of year a person is expected to live

As per 2011 Census

66.8
years

Infant Mortality Rate

Number of infants dying within one year of their birth out of every 1000 births

As per 2011 Census

47 per
1000

Basic Literacy Rate

Any person above the age of 7 year who can read and write in any one language with an ability to understand it is considered as literate

As per 2011 Census

74.04%

For each of the indicator, the performance of individual country is rated on a scale of 1 to 100 where 1 represents the worst performance and 100 represent the best performance;

1	2	3		100
Worst				Best

$$\frac{LEI + IMR + LEI}{3}$$

Example: Suppose, the L.E.I. for a country is rated as 75, the I.M.I is rated as 40 and B.L.I. is rated as 65, then the P.Q.L.I will be?

Human Development Index (HDI)

Initiated in 1990 and undertaken by UNDP in its annual series of HDRs. So first HDR published by UNDP since 1990

HDI is based on 3 goals & hence measures of quality of life

Longevity: Life expectancy at birth (index of long and healthy life)

Index of knowledge: adult literacy rate (secondary and tertiary gross enrollment ratio)

Standard of living: GDP/capita (index of a decent standard of living).

Weighted average: $HDI = 1/3(\text{Income index}) + 1/3(\text{Life expectancy index}) + 1/3(\text{education index})$

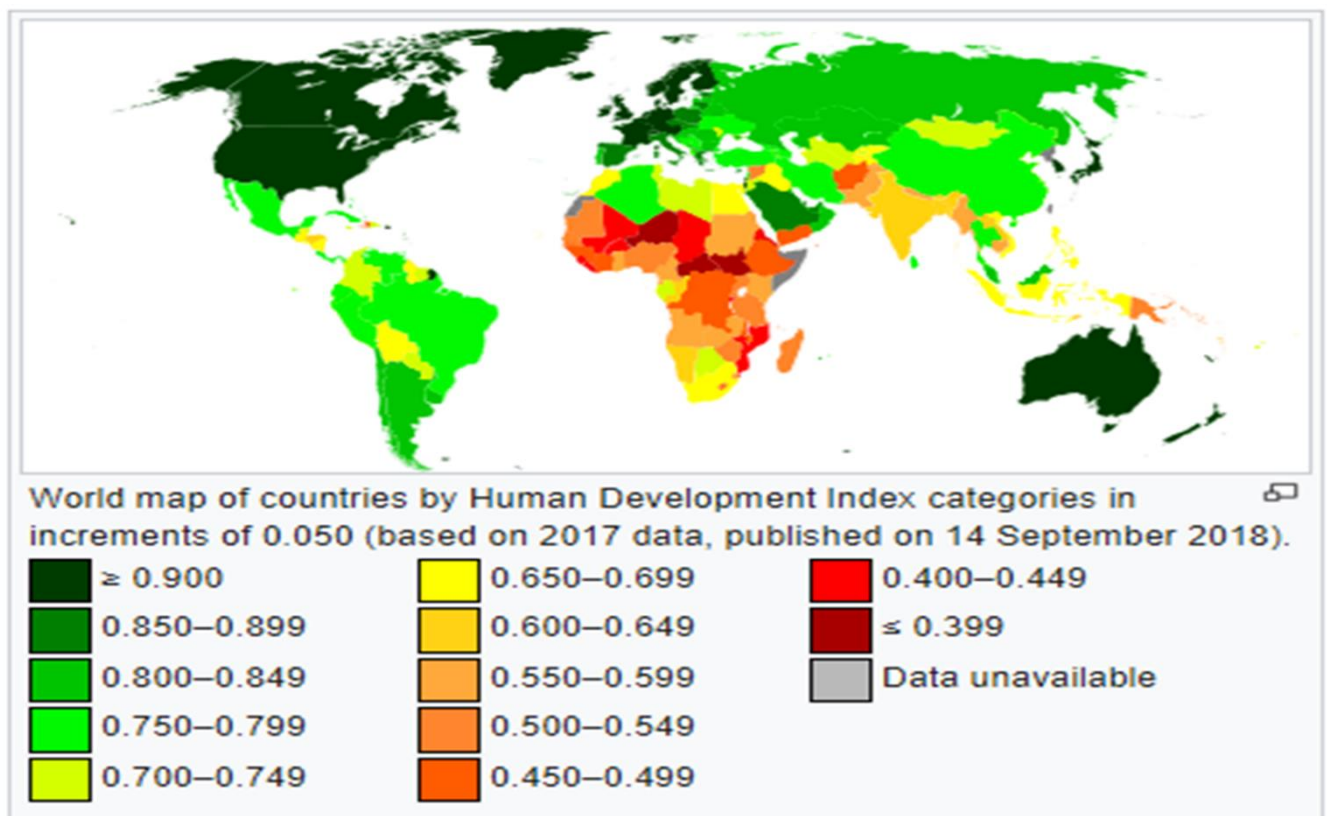
- Low human development = 0.00-0.499
- Medium human development = 0.5-0.799
- High human development = 0.80-1.00

Measuring Human Development

The human development index (HDI) ranks the countries based on their performance in the key areas of health, education and access to resources.

- **Health :-**
 - a. The indicator chosen to assess health is the life expectancy at birth.
 - b. A higher life expectancy means that people have a greater chance of living longer and healthier lives.

- **Education :-**
 - a. The adult literacy rate and the gross enrolment ratio
 - b. Represent access to knowledge.
 - c. The number of adults who are able to read and write and the number of children enrolled in schools show how easy or difficult it is to access knowledge in a particular country.
- **Access to resources** is measured in terms of purchasing power (in U.S. Dollars).



Human Poverty Index (HPI)

The composite measure focuses on dimensions of deprivations. The HPI for developing countries is based on three main indices:

The percentage of the population not expected to survive to the age of 40 (P1)

The adult illiteracy rate (P2)

A deprivation index P3 based on an average of three variables:

- a) the percentage of the population without access to safe water;
- b) the percentage of population without access to health service;
- c) and the percentage of the underweight children under five years old

1.7. Major Obstacles to Economic Development

At present there are more than 6 billion people living in the world. Out of these **75% (4.2 billion)** persons are living in developing countries.

The per capita income in these countries is very low whereas the per capital incomes in developed countries is very high.

Why the economic growth in developing countries is low?

What stops these countries from developing economically?

The answer to these questions is not simple. However, the main obstacles which the under developed countries, including Ethiopia are generally facing for promoting development can be identified as under.

a) **Vicious Circle of poverty**

It implies a circular association of forces tending to act and react up on one another in such a way so as to keep a poor country in a state of poverty. It is the biggest obstacle in the way of economic development. Ranger Nurkse in "Problems of Capital Formation in Underdeveloped Countries" describes 'vicious circle of poverty as the basic cause of under-development of poor countries. According to him, a country is poor because it is poor. Vicious circle of poverty would be explained more from demand side and from the supply side which is discussed here under with the help of diagram.

On the side of demand when people have low real income the demand for goods is bound to be small. In the small size of market, there is no incentive of invest in real or human capital. When the rate of investment is low, the productivity of the factors of production is bound to be low. **Low productivity** leads to low per capital income which is rapidly absorbed by the rising population growth. The country, therefore, remained poor.

From the Supply side vicious circle of poverty, low level of real income contributes to low rate of saving and this leads to low rate of investment. The low level of investment leads to

low level of productivity. When the productivity per worker is low, the real income will obviously be low and so there poverty and vicious circle is complete.

b) Political Instability

In most of the developing countries, the governments are not stable. A new government comes into power overnight; either through coup defeat or army takes over. The new government introduces a new system of rules for the operation of business which causes frustration and discontentment among the people. How political instability affect growth does is discussed in brief below.

(i) **Influence of political instability.** When there is lack of political stability in the country, it directly affects economic growth. It closes off sources of internal and external investments.

(ii) **The external investors.** The external investors do not invest in a country where there is political instability. The flow of investment in countries where there is civil war coups, army take over etc. is either negligible or zero.

(iii) **Internal investment.** Political instability also limits internal investment. The wealthy class in developing countries have enough income to spare.

They can invest their savings in profitable projects.

Generally, they avoid investing funds in their own country for fear of nationalization of their projects, large scale interference by militant trade unions, harsh and exploitative attitude of the various govt. agencies involved in the setting and operation of the projects etc.

c) Corruption

Corruption is another obstacle to economic development in developing countries. **Example,** The bribery or gift of money has become institutionalized. The govt. officials think bribery is built into their pay structure. The businessmen, if they are to stay in business, have to pay bribes to different departments of the govt. The employees give gift of money to their superiors. When bribery is an acceptable practice, it then becomes difficult for businessmen and industrialists to take part stay and grow in business. Bribery thus limits economic development

d) Lack of investment

For an economy to grow, it must have investment. The funds for investment can come either from domestic savings or from abroad. Both these sources of investment funds have their own peculiar problems which in brief are discussed as under.

(i) **Investment funding by domestic savings.** For economic growth we must give up unnecessary expenditure so that the economy can achieve even greater consumption in the future. In developing countries, the people with per capita incomes of as low as \$ 600 per year hardly meet the bare necessities of life. They have little to put into savings. The middle class persons do save for their old age, marriage of children etc and put their money in saving banks. The rich people prefer to invest their savings abroad. The overall result is that domestic savings in most of the developing countries is as low around 13% of GDP; whereas it should not be less than 25% of GDP to promote growth.

(ii) **Investment funding from abroad.** Another way to generate funds for investment is to obtain from foreign loans, foreign private investment or from both. The foreign loans or the foreign private investment has their own peculiar problems. For financing development of the less developed countries (LDC's) the flow of capital comes from individual national governments, multinational assistance organizations and from multinational companies.

The individual national governments give financial assistance to LDC's mainly for their own **economic and political interests**. So long as the developing country is protecting the interest of the donor countries, the flow of capital continues. It is stopped or very much slowed down when the recipient country is of no benefit to them. A developing country, therefore, cannot rely on such foreign aid for economic growth.

Same is the position now of the multinational assistance organizations like the **World Bank and International Monetary Fund (IMF)**. These organizations which are mainly funded by the developed capitalist's countries of the world are also using these organizations to promote their own economic and political interests. All the developing countries including Ethiopia are now knee deep in debts of these organizations. The problem of debt servicing, rescheduling has adversely affected economic growth of the poor countries.

As regards the flow of capital from multinational companies, they make investment in those countries where infrastructure facilities such as transportation, power, cheap labour force, raw material etc. are available. As these companies do not generally help in establishing infrastructure in poor countries, therefore they do not contribute much to economic growth of the LDC's. The problem of lack of proper investment, therefore, remains in developing countries.

e) Socio - Cultural Obstacles

LDCs (least developed countries) have social institutions and attitudes, which are not conducive or suitable to development.

According to the UN's report on the process's and problems of industrialization in LDCs, there are unfavourable factors or elements of social resistance to economic change in LDCs, which include institutional factors like

- Rigid stratification of occupations reinforced by traditional beliefs and values
- Attitudes involving inferior valuation attached to business roles
- Backward social attitudes
- Unfavourable political conditions
- Stratification and classification based on class, religious groups, caste system, ethnic groups. Etc

f) International Forces

Apart from local problems, international problems are also basic causes of poverty. To begin with historical factors such as colonialism and neo colonialism have played a significant role in hindering the development of many poor African nations.

The gains from trade have also gone mainly to the developed countries (DCs). Further the development of the export sector only made other sectors to neglected i.e. most of the poor nations are basically concerned towards developing exportable agricultural commodities rather than being concerned about the overall development of their domestic economy. Apart from this too much dependence on exports has exposed many LDCs' economies to international fluctuations in the demand for and prices of their products. Hence the development efforts of many poor nations were negative.

Foreign investment in most African nations has been mainly directed towards increasing exportable goods. It has, however, tended to affect the economy adversely because the levels of productivity, incomes, living standards have not risen in the primary sector. Even in the export sector, the level of real wages of unskilled labor has remained low. The foreigners have been draining out large amounts of money in the name of profit and wages of management.

g) Inadequate Infrastructure Facilities

The under developed countries suffer from lack of basic infrastructure such as transport and communication system, power supply, banking and other financial facilities. The provision of inadequate infrastructure facilities stands in the way of economic development of the poor countries.

1.8. Basic Requirements for Development

Development is a multidimensional in nature. Different countries have experienced different approaches to economic development. However, there are some common requirements for development that poor nations must fulfil. These are:

i. An Indigenous Base

For a poor country to be developed a strong domestic economic base has to be created. This will happen if there is an internal motivation for the growth process being firmly rooted within the domestic economy.

ii. Removing Market Imperfections

Market imperfections lead to factor immobility and restrict sectoral expansion and development. To avoid the problems associated with market imperfections the following measures have to be taken

- Improving the existing socio-economic institutions or replacing them with new ones
- Expanding capital and money market
- Making Cheap credit facilities available to traders and small businessmen

iii. Structural Changes

It implies the transformation from a traditional agricultural society to a modern society or industrial economy involving a radical transformation of existing institutions, social attitudes and motivations.

It transfers population from primary to secondary and tertiary sectors. It is also the development of new social systems, which would replace the old social systems, which are simply based on class, caste and religious differentials.

iv. Capital Formation

It related to the process of developing investible funds and directing them to investment areas. It involves three interdependent stages

1. An increase in the volume of real saving
2. The existence of credit and financial institutions to mobilize these savings for converting them in to investible funds.
3. The use of these savings for the purpose of investment in capital goods

Following suitable investment criterion

In the process of bringing growth and development, any developing economy is supposed to follow suitable policies of investment but there is no well-defined single criterion, rather a set of suitable criterion.

a) Social and Economic Overheads

Investment should aim at developing the growing points in the economy. In the beginning, particular growing points should be developed which intern will set chain reactions and influence the entire economy.

b) Balanced Growth

Investment should be based on the principle of balanced growth i.e. an all round and simultaneous development of the different sectors of the economy where there is a harmonious growth of sectors so that no sector lags behind or moves ahead of the others.

c) Choice of Techniques

Economic planners must always make their decisions based on broad development objectives in the process of adopting a particular technique of production. That is a feasible production technique needs to consider various aspects of the economy apart from achieving its direct objectives. E.g. feasible production techniques in Ethiopia should make use of

- Unskilled labour (labor intensive production technique)
- Local inputs and raw materials
- Land and environmental favour abilities etc.

E.g. investments in the agricultural sector

d) Capital-Output Ratio (K/Y)

While making a choice among investment projects and in determining priorities, capital-output (K/Y) ratio of different projects must be compared. The lower the capital-output (K/Y) ratio, the higher is the growth rate of the economy.

V. Socio-Cultural Requirements

To bring development it requires changing people's attitudes from backward and primitive thinking to modern thinking and in this process education has to be used as a great tool of enlightenment.

VI. Administrative Requirements

The existence of a strong, competent and uncorrupt administration is crucial for economic development. Government has to a strong one, capable of maintaining law and order and defending the country against external aggression. In the absence of stable government and peace, public policies change very often and create problems to ongoing investments. Further economic plans cannot be implemented without efficient administration. So that the government must offer:

- Order, justice, good policy and security,
- Rewards and incentives based on ability,
- Assurance that business contracts would be kept,
- Stability of the government itself to maintain a sense of order and future calculability of expectations

1.9. The development gap

Development gap is the difference in levels of social well-being and economic development between the poorest and the richest people on the planet. It is the divide between rich and poor or the 'haves' and the 'have-nots'. It can exist on different scales and involves social and economic differences.

Is the development gap widening or becoming narrower – what do you think?

- Some says Yes – the development gap is narrowing, the world is becoming a better place
- Others says No – the development gap is widening and the world is not becoming a better place
- Other say Both – the development gap is widening and narrowing at the same time; it is different in different places

The development gap has narrowed for some people but not for others

Narrowing

- There has been global development, particularly in Asia
- Many poorer countries, like China and India, are industrialising

Widening

- Development in much of Africa has lagged behind, although the percentage of people in poverty has decreased actual numbers have increased as population has grown
- Worldwide, one billion people live on less than US\$1 dollar a day
- There is an urban–rural divide in many countries,
- Economic growth is increasing the divide between extreme wealth and poverty in some countries, like Brazil
- The gap between rich and poor people living in both richer and poorer countries is growing

1.20. The Millennium Development Goals

In September 2000, the 189 member countries of the United Nations at that time adopted eight Millennium Development Goals (MDGs), committing themselves to making substantial progress toward the eradication of poverty and achieving other human development goals by 2015. The MDGs are the strongest statement yet of the international commitment to ending global poverty. They acknowledge the multidimensional nature of development and poverty alleviation; an end to poverty requires more than just increasing incomes of the poor. The MDGs have provided a unified focus in the development community unlike anything that preceded them.

The eight goals are ambitious: to eradicate extreme poverty and hunger; achieve universal primary education; promote gender equality and empower women; reduce child mortality; improve maternal health; combat HIV/AIDS, malaria, and other diseases; ensure environmental sustainability; and develop a global partnership for development. The goals are then assigned specific targets deemed achievable by 2015 based on the pace of past international development achievements.

The MDGs were developed in consultation with the developing countries, to ensure that they addressed their most pressing problems. In addition, key international agencies, including the United Nations, the World Bank, the International Monetary Fund (IMF), the Organization for Economic Cooperation and Development (OECD), and the World Trade Organization (WTO), all

helped develop the Millennium Declaration and so have a collective policy commitment to attacking poverty directly. The MDGs assign specific responsibilities to rich countries, including increased aid, removal of trade and investment barriers, and eliminating unsustainable debts of the poorest nations. However, the MDGs have also come in for some criticism.²⁹ For example, some observers believe that the MDG targets were not ambitious enough, going little beyond projecting past rates of improvement 15 years into the future.

Moreover, the goals were not prioritized; for example, reducing hunger may leverage the achievement of many of the other health and education targets. At the same time, although the interrelatedness of development objectives was implicit in the MDGs formulation, goals are presented and treated in reports as stand-alone objectives; in reality, the goals are not substitutes for each other but complements such as the close relationship between health and education. Further, the setting of 2015 as an end date for the targets could discourage rather than encourage further development assistance if it is not met. Moreover, when the MDGs measure poverty as the fraction of the population below the \$1-a-day line, this is arbitrary and fails to account for the intensity of poverty—that a given amount of extra income to a family with a per capita income of, say, 70 cents a day makes a bigger impact on poverty than to a family earning 90 cents per day. Other critics have complained that \$1 a day is too low a poverty line and about the lack of goals on reducing rich-country agricultural subsidies, improving legal and human rights of the poor, slowing global warming (which is projected to harm Africa and South Asia the most), expanding gender equity, and leveraging the contribution of the private sector. While the reasonableness of some of these criticisms may be questioned, it should be acknowledged that the MDGs do have some inherent limitations.

1.21. The Sustainable Development Goals (SDG)

What is sustainable development? Sustainable development is development that meets the needs of the present without compromising the ability of future generations to meet their own needs.

In 2015, 193 countries adopted Agenda 2030 for Sustainable Development and its 17 Sustainable Development Goals (SDGs). The SDGs build on the Millennium Development Goals (MDGs), but there are significant differences between them and the processes leading up to their adoption. The process leading up to the adoption of the SDGs involved considerably broader participation.

The SDGs expanded the focus by integrating a wider development policy agenda addressing many aspects of economic, social and environmental sustainability. In addition, while the MDGs were mainly relevant for developing countries, the SDGs apply to all countries.

The 17 SDGs and 169 related targets form an overarching development framework meant to guide government and non-state actor efforts at different scales, from global to local, until 2030. The SDGs and their targets form a complex, integrated system with clear sectoral emphases, but also strong interlinkages among goals and targets. The agenda does not explicitly address these interlinkages, or the synergies and trade-offs among targets.

1.22. The Agenda 2063: The Africa We Want.

AGENDA 2063 is Africa's blueprint and master plan for transforming Africa into the global powerhouse of the future. It is the continent's strategic framework that aims to deliver on its goal for inclusive and sustainable development and is a concrete manifestation of the pan-African drive for unity, self-determination, freedom, progress and collective prosperity pursued under Pan-Africanism and African Renaissance. The genesis of Agenda 2063 was the realisation by African leaders that there was a need to refocus and reprioritise Africa's agenda from the struggle against apartheid and the attainment of political independence for the continent which had been the focus of The Organisation of African Unity (OAU), the precursor of the African Union; and instead to prioritise inclusive social and economic development, continental and regional integration, democratic governance and peace and security amongst other issues aimed at repositioning Africa to becoming a dominant player in the global arena.

The need to envision a long-term 50 year development trajectory for Africa is important as Africa needs to revise and adapt its development agenda due to ongoing structural transformations; increased peace and reduction in the number of conflicts; renewed economic growth and social progress; the need for people centered development, gender equality and youth empowerment; changing global contexts such as increased globalization and the ICT revolution; the increased unity of Africa which makes it a global power to be reckoned with and capable of rallying support around its own common agenda; and emerging development and investment opportunities in areas

such as agri-business, infrastructure development, health and education as well as the value addition in African commodities

Agenda 2063 encapsulates not only Africa's Aspirations for the Future but also identifies key Flagship Programmes which can boost Africa's economic growth and development and lead to the rapid transformation of the continent. Agenda 2063 also identifies key activities to be undertaken in its 10 year Implementation Plans which will ensure that Agenda 2063 delivers both quantitative and qualitative Transformational Outcomes for Africa's people

UNIT TWO

Structural Features and Common Characteristics of Developing Countries

Introduction

Developing countries have heterogeneous characters in terms of structure, natural and manmade resources and its utilization/uses /consumption. This chapter will try to identify some of the most important structural differences and common characteristic observed in developing nations.

Objectives

At the end of this chapter the students will be able to:

- Identify the structure of developing countries.
- Explain the major characteristics of developing countries.

Do you think that developing economies have unique structure and characteristics?

First of all, let us look at the Major Terminologies used in Development Economics

For the purpose of this course the following sets of terms, used to describe a country or groups of countries, and are sometimes used synonymously:

- Less Developed Countries (LDCs), developing, underdeveloped, backward, 'Third World', 'South'
- Developed Countries (DCs), more developed, industrial, industrialized, rich, advanced, 'First World', 'North'.

Some of these terminologies are incorrect when applied to some countries. It is, for example, possible that a country is not developing, in a general sense. Others terminologies were more relevant at some point in the past, but others are no longer appropriate. For example, North–South division is an incorrect division since some of the major LDCs are in the North and Australia and New Zealand are in the South. Similarly First World–Third World has a cold war background and is no longer relevant. Specifically,

Modern Vs backward countries; this terminology is not however commonly used because of its negative connotation,

Developed Vs underdeveloped (developing); this way of classification is most popular,

Most developed Vs least developed countries; this terminology or way of classification is also commonly used to differentiate rich nations from poor nations,

High, middle and low income countries; this classification is based on the level of income of countries. It has been later redefined by the World Bank as follows based on specific per capita income (PCI) ranges,

N.B: Both the low and middle-income economies are categorized as developing economies. In this subject guide mostly, we use the distinction Developed countries (DCs) and Less Developing Countries (LDCs).

2.1 The Structure of Developing Economies

Any portrayal/interpretation/ of structural diversity of developing countries requires an examination of:

- i. the size of the country (geographic area, population, and income)
- ii. its historical and colonial background
- iii. the endowment of physical and human resources
- iv. its ethnic and religious composition
- v. the relative importance of its public and private sectors
- vi. the nature of industrial structure
- vii. the degree of dependence on external economic and political forces
- viii. the distribution of power and the institutional and political structure within the nation

1. The Size of the Country

The sheer **physical** size of a country, size of its population, and level of its per capita income are important determinants of economic development and major factors differentiating one developing country from another.

With regard to population size, of the 160 developing countries that are full members of United Nations in 2000, 87 had fewer than 5 million people, 58 had fewer than 2.5 million people, and 38 had fewer than 0.5 million people. **The physical sizes** of these countries also vary. **Large size** (both in terms of population and physical area) usually presents advantages of diverse resource endowments, large potential markets, and a lesser dependence on foreign resources of materials

and products. However, it also creates problems of administration control, national cohesion/ and regional imbalances.

Note that there is no necessary relationship among a country's size; its level of PCI and the degree of equality and inequality of income distribution (see the table below)

Table 2.1: The ten most and selected least populated countries and their per capita income, 2000

Most populous	Population (millions)	GNP per capita (US \$)	Least populous	Population (thousands)	GNP per capita (US \$)
China	1261	840	Saint Kitts-Nevis	41	6600
India	1016	460	Antigua and Barbuda	68	9190
United states	282	34260	Dominica	73	3260
Indonesia	210	570	Seychelles	81	7310
Brazil	170	3570	Kiribati	91	950
Russia	146	1660	Grenada	98	3520
Pakistan	138	470	Tonga	100	1660
Bangladesh	130	381	Saint Vincent	115	2690
Nigeria	127	200	Micronesia	118	2110
Japan	127	34210	Sao Tome	149	290

Source: World Bank, World Development Report, 2002

2. Historical and Colonial Background

As most LDCs were once colonies of western European countries, their economic structure as well as their educational and social institutions have typically been modelled on those of their colonial rulers

The colonial powers of the West had a dramatic and long lasting impact on the economies and political and institutional structures of their colonies by their introduction of new and tradition-shattering ideas like; private property, personal taxation, and the requirement that taxes be paid in money rather than in kind

Generally, different colonial heritages have created different institutional and social patterns in LDCs as much as similar colonial heritages have resulted in similar institutional and social patterns.

3. Physical and Human Resources A country's potential for economic growth is greatly influenced by its endowments of physical resources (land, minerals, and other raw materials), and human resources (numbers of people and their level of skills)

The extreme case of favourable physical resource endowments is the Persian Gulf oil states. At the other extreme are countries like Chad, Yemen, Haiti, and Bangladesh, where endowments of raw materials and minerals and even fertile land are relatively minimum. Note that high mineral wealth is no guarantee of development success. For instance in the case of Congo shows clearly high endowments of mineral resource is no assurance of economic development.

Geography and climate can also play an important role in the success or failure of development efforts. For example, all other things remaining constant, Island economies like Taiwan seem to do better than landlocked economies, and temperate zone countries do better than tropical nations.

With respect to human resource endowments, the following aspects of people of a country are important.

- ✓ population size
- ✓ level and skill of the people
- ✓ people's cultural outlooks
- ✓ attitudes towards work that people have
- ✓ people's access to information
- ✓ willingness to innovate that people possess
- ✓ desire for self-improvement that people have
- ✓ level of administration skill of the people, etc

In general, the nature and character of a country's human resources are important determinants of its economic structure and these clearly differ from one region to the next.

4. Ethnic and Religious Composition

Today, more than 40% of the world's nations have more than five significant ethnic populations and in most cases one or more of these groups face serious problems of discrimination and thus potential and overt conflict and violence between these ethnic groups is becoming a common phenomenon.

Over half of the world's LDCs have recently experience some form inter-ethnic conflict. For instance, in 1990s, ethnic and religious conflicts leading to widespread death and destruction took place in Afghanistan, Rwanda, Mozambique, Sri Lanka, Iraq, India, Somalia, Ethiopia, Liberia, Angola, Myanmar, Sudan, Yugoslavia, Haiti, Indonesia and Democratic Republic of Congo.

These overt conflicts and widespread violence clearly lead to internal strife and political instability and thus to underdevelopment. Thus, it is not surprising that some of the most successful recent development experiences – **South Korea, Taiwan, Singapore, and Hong Kong** – have occurred in culturally homogeneous societies.

Note that ethnic and religious diversity need not necessarily lead to inequality, turmoil or instability. There have been numerous instances of successful economic and social integration of minority or indigenous ethnic populations in countries as diverse as Malaysia, Mauritius, and Zimbabwe.

To sum up, the ethnic and religious composition of a developing nation and whether or not that diversity leads to conflict or cooperation can be important determinants of success or failure of development efforts.

5. Relative Importance of the Public and Private Sectors

Most developing countries have mixed economic system, featuring both public and private ownership and use of resource. This division between the two and their relative importance are

mostly a function of historical and political circumstances. In general, Latin American and south East Asian nations have larger private sectors than south Asian and African nations.

6. Industrial Structure

The majority of developing countries are **agrarian** in economic, social, and cultural outlook. Agriculture, both **subsistence and commercial**, is a principal economic activity in terms of the occupational distribution of the labor force, if not in terms of proportionate contributions to the gross national product. Nevertheless, there are great differences between the structure of agrarian systems and patterns of land ownership among developing countries.

It is in the relative importance of the agricultural, manufacturing, and service sectors that we find the widest variation among developing nation. The following table provides information on the distribution of labor force and gross domestic product (GDP) between agriculture and industry in 17 developing countries, the United States and the United Kingdom.

Table 2.2: Industrial Structure in Seventeen Developing Countries, United States, and the United Kingdom, 1996

Country	Percentage of labor force			Percentage of GDP		
	Agriculture	Industry	Service	Agriculture	Industry	Service
Africa						
DRC	75	12	13	64	13	23
Kenya	81	7	12	29	16	55
Nigeria	54	5	41	43	25	32
Tanzania	90	5	5	48	21	31
Uganda	86	4	10	46	16	38
Asia						
Bangladesh	64	14	22	30	18	52
India	65	13	22	28	29	43
Indonesia	55	10	35	16	43	41
Philippines	46	16	38	21	32	47
South Korea	21	27	52	6	43	51

Sri Lanka	46	13	41	22	25	53
Lain America						
Brazil	31	27	42	14	36	50
Colombia	30	14	56	16	20	54
Guatemala	60	12	28	24	20	56
Mexico	28	19	53	5	26	69
Peru	37	19	44	7	37	56
Venezuela	16	28	56	4	47	49
All developing countries	60	17	23	20	38	42
United states	2	25	73	2	29	69
United kingdom	1	24	75	2	37	61

Source: UNDP, Human Development Report, 1996

7. External Dependence: Economic, Political, And Cultural

The degree to which a country is dependent on **foreign economic, social, and political forces** is related to its size, resource endowment, and political history. For most developing countries this dependence is substantial/ **large/ extensive**. Most small nations are highly dependent on foreign investment and trade with the developed world.

Even beyond **economic dependence**, developing countries are dependent on developed countries through transmission of institutions (e.g., systems of education and governance), values, patterns of consumption, and attitudes toward life, work and self.

8. Political Structure, Power, and Interest groups

It is often not the correctness of economic policies alone that determines the outcome of national approaches to critical development problems. The political structure and the vested interests and allegiances of ruling elites (e.g. large landowners, urban industrialists, bankers, foreign manufacturers, the military, and trade unionists) will typically determine what strategies are possible and where the main roadblocks to effective economic and social change may lie.

In general, most developing countries are ruled directly or indirectly by small and powerful elites to a greater extent than the developed nations are. Effective social and economic change thus requires either that the support of elite **groups be enlisted** or that the power of the elites be offset by **more powerful democratic forces**.

2.2 Common Characteristics of Developing Countries

1. Demographic Characteristics

Very poor countries are characterized by high birth rate and high death rate. As economic development proceeds, death rate declines because of improvement in health conditions & access to health services. But, for birth rate to decline it requires substantial economic development. The difference between the developed & the LDCs is now a day's mainly in the birth rate. As a result the gap between birth rate & death rate in LDCs is widening.

✓ High population growth has two effects:

1. It means that overall **income** must **grow faster than population to keep per capita growth** at reasonable levels. Since growth in population
 - a) increases the number of people who divide the **national income**, and
 - b) helps income to grow as a result of **greater supply of productive labor** **Per capita income** to grow 'b' should dominate 'a'. In countries not endowed with large quantities of capital (physical or human), 'a' is dominant.
2. The overall population will **be young** because high birth rate means larger proportion of children is entering into the population and hence population is weighted heavily in favour of children. This leads to greater economic dependency burden in developed countries.

	Birth rate/1000	population growth	dependence burden
MDCs	15-20	0.5%	1/3
LDCs	30-40	2%	2/3

The consequence of high economic dependency ratio is poverty & child labor (child poverty). Evidences show that population growth varies with PCI. In general, the population growth rate declines as PCI (in PPP) increases. Thus, **poor countries have higher population growth than the DCs.**

2. Occupational & Production Structure

Substantial amount of labor is living in rural areas (72%) in LDC (in low income countries), 60% in middle income countries and 20% (and most of which are engaged in non- agricultural activities) in DCs

Agriculture accounts for the significant portion of production in LDCs the average proportion of **output from agriculture** is close to 30% in low income countries, 20% in middle income countries and 1-7% in DCs.

	Population (mil)	Urban (%)	Rural (%)	Labor force in Agr (%)	Agri share in GDP(%)*
WORLD	5420	43	57	57	-
DCS	1224	73	27	7	3
LDCS	4196	34	66	62	17
Africa					32
SE Asia					21

* Greater than 60% in Ethiopia.

- ✓ There is a downward trend in the share of labor force in agriculture as economy grows.

3. Low Standard of Education

Education and training determine the standard according to which the population of a country functions and produces goods and services. One must remember that there are approximately 80 million **children** in the poor countries who **do not go to school at all**; therefore one can understand why poor countries are faced with unemployment. Without the necessary training people cannot be prepared for a vocation. This means that such people have **no chance** of improving their own conditions.

4. Rapid Rural- Urban Migration

The migration of rural labor force to the urban areas could be due to **push and pull reasons**.

- The push from agriculture is due to the **extreme poverty and landlessness**.
- The perceived pull of the urban sector is reinforced by a variety of factors such as high wage, and workers protection by labour union and their government.

Urban population growth rate varies with the level of development, due to variation in the level of **rural – urban migration**, For example

- 45 low income countries, the rate of growth of urban population is 3.9% while the overall population growth rate is 2%. Therefore, the difference (3.9% - 2%) is due to **rural – urban migration**.
- In the middle income countries (63 countries), urban population growth rate is 2.8% while the overall growth rate is 1.7. Therefore, the difference (2.8% - 1.7%) is due to **rural – urban migration**.
- For the high income countries urban population growth this 0.8 while the overall population growth is 0.6%. Therefore, urban population growth rate due to **rural – urban migration** is 0.2% i.e., (0.8% - 0.6%).

As shown above, **rural urban migration** is higher in LDCs than MDCs. this is not bad, but since it is very high (in LDCs), it imposes enormous strain. When the migration is enormous

as the migration cannot get job in urban areas and as a result unemployment will be higher and there will be more urban slums & shanty places. One piece of evidence that reveals the strains from **rural – urban migration** is that larger proportion of people in LDCs is engaged in **service sector** (tertiary sector). **Informal sector** (street vendors) is seen as **services sector**. It is for this, not because of development (healthy growth), that large proportion of people in LDCs are said to be engaged in the **service sector**

5. International Trade

Both poor & rich countries are engaged in international trade. The intensity of trade is measured by:

$$\lambda = \frac{\text{Import} + \text{Export}}{\text{GNP}}$$

There is no significant difference in this ratio between the LDCs and MDCs. For example, in USA, Mexico & India, this ratio is 10% while in Singapore and Hong Kong it is 100%. But there is a difference between LDCs & DCs in the composition of export trade in that;

- LDCs are often **exports of primary products** such as raw materials; cash crop (coffee, tea, cacaos) and sometimes food.
- The bulk of export from the most developed countries is manufactured goods (refrigerator/ , house appliances, etc).

The share of primary products in total export declines with per capita income. This indicates that **developing countries** rely on **primary products** and most developed countries rely on the **manufacturing product export**. The traditional explanation for the structure of international trade comes from the theory of **comparative advantage** which states that countries specialize in export of commodities in which they have a relative **cost advantage** in production. This cost advantage comes from difference in **technology, domestic consumption profiles, or the endowment of inputs** that are conducive for the production of commodities.

Because LDCs are endowed with unskilled labor & tropical climate which is conducive for cultivation of such primary products as crops, **they have a relative cost advantage in export of such primary products.**

Some of the **disadvantages of being involved in export of primary products** include:

- **Primary products** are particularly **subject to large fluctuation** in the world market price. This creates instability in export earning,
- Over the **long-run** primary products become less important in the consumption basket of people in the world. That is, **their income elasticity of demand less than 1 and thus their relative prices will be very low (assuming that PCI increases)**. Therefore, terms of trade declines for LDCs where:

$$\text{Terms of trade} = \frac{\text{Price of Export}}{\text{Price of Import}}$$

Since **terms of trade** rises with PCI, countries with low PCI are more likely to face a declining terms of trade compared to the rich countries.

Technology is often **assimilated/** through learning by doing (production). So if a country is producing and exporting only **primary products**, then the transfer of technology from MDCs to LDCS will be **very low**. E.g. Philippine currently exports manufactured goods & hence technology is being transferred fast.

6. High and Rising Levels of Unemployment and Underemployment

Over-population and low literacy are some of the **main causes of unemployment**. Everybody would like to **have a job** in order to **make money to earn a living**. People who are **unemployed** cannot be self-supporting and therefore they are unable to make any contribution to the economy of the country.

Inefficient use of labor is one of the reasons for low level of living in LDCs. There are two kinds of labor underutilization:

- A. Open unemployment
- B. Underemployment

Labor under utilization occurs as an underemployment because people both in rural & urban areas work less hour than they are willing to work. **Underemployment** may also include those who are **working full time** but whose productivity is **very low** that a reduction in the hours of labor supply would have negligible effect on output. This kind of **under employment** is known as **disguised** unemployment. E.g., **farming practice of Ethiopian farmers....**

Open unemployment rate in the world is 10 - 15%. By open unemployment we mean the proportion of **labor willing to work** but unable to get a job. In Ethiopia open unemployment takes 8% and disguised unemployment takes 17% of the total unemployment.

Open unemployment is very high in urban areas than rural areas, but underemployment is higher in rural areas. Open unemployment is higher in urban areas because of rural urban migration other features.

7. Poor Nutrition and Limited access to Safe Water

Only 43% of the world's food production comes from countries that accommodate 80% of the global population. This, together with the low life expectancy and inadequate education and training, as well as **insufficient industries**, provides a recipe for malnutrition (a condition that arises when people do not eat enough nourishing food). Approximately 30% of the children in the poor countries do not have enough food to eat every day.

In **developing countries** many people are dependent on a stream or a river for their daily supply of fresh water. The water from these sources is not always safe and clean and if people use the water just as it is, it could lead to outbreaks of diseases such as cholera, which cause many deaths every year. Some Water facts are:

- More than 1 billion people did not have access to safe water in the year 2000.

- In Mozambique, for instance, approximately 16% of the inhabitants of the country have safe, clean drinking water.
- In South Africa an average of 638 liter of water is used per person per day. Only 2.5% of the total water supply of the world is fresh.

Chapter Three

Theories of Development: A Comparative Analysis

Development must be redefined as an attack on the chief evils of the world today: malnutrition, disease, illiteracy, slums, unemployment and inequality. Measured in terms of aggregate growth rates, development has been a great success. But measured in terms of jobs, justice and the elimination of poverty, it has been a failure or only a partial success.

Paul P. Streeten, Director, World Development Institute

Introduction

Every nation strives after development. Economic progress is an essential component, but it is not the only component. As we discovered in Chapter I, development is not purely an economic phenomenon. In an ultimate sense, it must encompass more than the material and financial side of people's lives. Development should therefore be perceived as a multidimensional process involving the reorganization and reorientation of entire economic and social systems. In addition to improvements in incomes and output, it typically involves radical changes in institutional, social, and administrative structures as well as in popular attitudes and, in many cases, even customs and beliefs. Finally, although development is usually defined in a national context, its widespread realization may necessitate fundamental modification of the international economic and social system as well.

In this chapter, we explore the recent historical and intellectual evolution in scholarly thinking about how and why development does or does not take place. We do this by examining four major and often competing development theories. In addition to presenting these differing approaches and an emerging new one we will discover how each offers valuable insight and a useful perspective on the nature of the development process.

3. Leading Theories of Economic Development: Four Approaches

The post-World War II literature on economic development has been dominated by four major and sometimes competing strands of thought: (1) the linear stages-of-growth model, (2) theories and patterns of structural change, (3) the international dependence revolution, and (4) the neoclassical, free-market counterrevolution. In addition, the past few years have witnessed the

beginnings of a potential fifth approach associated primarily with the so-called new theory of economic growth.

Theorists of the 1950s and early 1960s viewed the process of development as a series of successive stages of economic growth through which all countries must pass. It was primarily an economic theory of development in which the right quantity and mixture of saving, investment, and foreign aid were all that was necessary to enable Third World nations to proceed along an economic growth path that historically had been followed by the more developed countries. Development thus became synonymous with rapid, aggregate economic growth.

This linear-stages approach was largely replaced in the 1970s by two competing economic (and indeed ideological) schools of thought. The first, which focused on theories and patterns of structural change, used modern economic theory and statistical analysis in an attempt to portray the internal process of structural change that a "typical" developing country must undergo if it is to succeed in generating and sustaining a process of rapid economic growth. The second, the international dependence revolution, was more radical and political in orientation. It viewed underdevelopment in terms of international and domestic power relationships, institutional and structural economic rigidities, and the resulting proliferation of dual economies and dual societies both within and among the nations of the world. Dependence theories tended to emphasize external and internal institutional and political constraints on economic development. Emphasis was placed on the need for major new policies to eradicate poverty, to provide more diversified employment opportunities, and to reduce income inequalities. These and other egalitarian objectives were to be achieved within the context of a growing economy, but economic growth per se was not given the exalted status accorded to it by the linear-stages and the structural-change models.

Throughout much of the 1980s, a fourth approach prevailed. This neoclassical counterrevolution in economic thought emphasized the beneficial role of free markets, open economies, and the privatization of inefficient and wasteful public enterprises. Failure to develop, according to this theory, is not due to exploitive external and internal forces as expounded by dependence theorists. Rather, it is primarily the result of too much government intervention and regulation of the economy.

Finally, in the late 1980s and early 1990s, a few neoclassical and institutional economists began to develop what may emerge as a fifth approach, called the *new growth theory*. It attempts to modify and extend traditional growth theory in a way that helps explain why some countries

develop rapidly while others stagnate and why, even in a neoclassical world of private markets, governments may still have an important role to play in the development process. We now look at each of these alternative approaches in greater detail.

3.1. The Linear-Stages Theory

When interest in the poor nations of the world really began to materialize following the Second World War, economists in the industrialized nations were caught off guard. They had no readily available conceptual apparatus with which to analyze the process of economic growth in largely peasant, agrarian societies characterized by the virtual absence of modern economic structures. But they did have the recent experience of the Marshall Plan in which massive amounts of U.S. financial and technical assistance enabled the war-torn countries of Europe to rebuild and modernize their economies in a matter of a few years. Moreover, was it not true that all modern industrial nations were once undeveloped peasant agrarian societies? Surely their historical experience in transforming their economies from poor agricultural subsistence societies to modern industrial giants had important lessons for the "backward" countries of Asia, Africa, and Latin America. The logic and simplicity of these two strands of thought—the utility of massive injections of capital and the historical pattern of the now developed countries—was too irresistible to be refuted by scholars, politicians, and administrators in rich countries to whom people and ways of life in the Third World were often no more real than U.N. statistics or scattered chapters in anthropology books.

Rostow's Stages of Growth

Out of this somewhat sterile intellectual environment, fueled by the cold war politics of the 1950s and 1960s and the resulting competition for the allegiance of newly independent nations, came the **stages-of-growth model of development**. Its most influential and outspoken advocate was the American economic historian Walt W. Rostow.

According to the Rostow doctrine, the transition from underdevelopment to development can be described in terms of a series of steps or stages through which all countries must proceed. As Professor Rostow wrote in the opening chapter of his *Stages of Economic Growth*:

This book presents an economic historian's way of generalizing the sweep of modern history. . . It is possible to identify all societies, in their economic dimensions, as lying within one of **five** categories: the traditional society, the pre-conditions for take-off into self-sustaining growth, the take-off, the drive to maturity, and the age of high mass consumption.

a) The Traditional Society Stage:

At this stage economic activity is on a subsistence basis, output (food etc) is consumed by those who produced it rather than traded. It was the time in which the economy was dominated by subsistence activities i.e. output was consumed by producers and was not traded. The world was in this stage before the 19th century “industrial revolution”. All stage of development from the stage of savagery to horticulture, animal husbandry and pre-agricultural development, primitive agricultural development, feudalism etc, are covered by this stage of the Rostow’s theory. Agriculture was the most important industry and production was labor intensive as capital was limited. Resource allocation was determined by traditional methods of production. It was a period of stagnation and, more or less, the society remained traditional. Technical conditions and economies of scale were static.

b) Precondition for Take-Off into Self-Sustaining Growth (Transitional Stage)

The second stage of growth embraces societies in the process of transition; that is, the period when the preconditions for take-off are developed but the society has not yet entered a period of high growth; for it takes time to transform a traditional society in the ways necessary for it to exploit the fruits of modern science and thus to enjoy the blessings and choices opened up by the march of compound interest.

The preconditions for take-off were initially developed, in a clearly marked way, in Western Europe of the late seventeenth and early eighteenth centuries as the insights of modern science began to be translated into new production functions in both agriculture and industry, in a setting given dynamism by the lateral expansion of world markets and the international competition for them. Moreover, during this stage:

- ✓ Specialization started to generate surplus.
- ✓ The transport infrastructure emerges to support trade.
- ✓ External trade occurs on primary products.
- ✓ As income saving and investment grow entrepreneurs emerge.
- ✓ The entrepreneurial class mobilizes savings and investment.
- ✓ The entrepreneurs also bring the political unification of the country and provide it with some infrastructural facilities i.e. transport, education & organized medical help.
- ✓ Agriculture starts developing.
- ✓ Death rates start falling but not the birth rates.

- ✓ A few industries develop on small scale and investment ranges around 5% of the GDP.

c) The Take-Off Stage

We come now to the great watershed in the life of modern societies: the third stage in this sequence, the take-off. The take-off is the interval when the old blocks and resistances to steady growth are **finally overcome**. The forces making for economic progress, which yielded limited bursts and enclaves of modern activity, expand and come to dominate the society. At this stage the barriers to growth are overcome and growth becomes a normal condition at least in one sector of the economy (the leading sector).

During the take-off, the rate of effective investment and savings may rise from, say, 5 % of the national income to 10% or more; although where heavy social overhead capital investment was required to create the technical preconditions for take-off the investment rate in the preconditions period could be higher than 5%. In such cases capital imports usually formed a high proportion of total investment in the preconditions period and sometimes even during the take-off itself. Growth begins to generate its own new investment from the earning of its previous investment i.e. the growth in this stage is self-sustaining. The following diagram also proves this fact.

The economic transition will be accompanied by the evolution of new political and social institutions that support the industrialization.

Likewise, during the take-off stage new industries expand rapidly, yielding profits a large proportion of which are reinvested in new plant; and these new industries, in turn, stimulate, through their rapidly expanding requirement for factory workers, the services to support them, and for other manufactured goods, a further expansion in urban areas and in other modern industrial plants. The whole process of expansion in the modern sector yields an increase of income in the hands of those who not only save at high rates but place their savings at the disposal of those engaged in modern sector activities. The new class of entrepreneurs expands; and it directs the enlarging flows of investment in the private sector. The economy exploits hitherto unused natural resources and methods of production.

New techniques spread in agriculture as well as industry, as agriculture is commercialized, and increasing numbers of farmers are prepared to accept the new methods and the deep changes they bring to ways of life. The revolutionary changes in agricultural productivity are an essential condition for successful take-off; for modernization of a society increases radically its bill for agricultural products. In a decade or two both the basic structure of the economy and the social

and political structure of the society are transformed in such a way that a steady rate of growth can be, thereafter, regularly sustained.

d) **The stage of “Drive to Maturity”**

After take-off there follows a long interval of **sustained** if fluctuating progress, as the now regularly growing economy drives to extend modern technology over the whole front of its economic activity. Some 10-20% of the national income is steadily invested, permitting output regularly to outstrip the increase in population. The make-up of the economy changes unceasingly as technique improves, new industries accelerate, older industries level off. The economy finds its place in the international economy: goods formerly imported are produced at home; new import requirements develop, and new export commodities to match them. The society makes such terms as it will with the requirements of modern efficient production, balancing off the new against the older values and institutions, or revising the latter in such ways as to support rather than to retard the growth process.

Some sixty years after take-off begins (say, forty years after the end of take-off) what may be called maturity is generally attained. The economy, focused during the take-off around a relatively narrow complex of industry and technology, has extended its range into more refined and technologically often more complex processes; for example, there may be a shift in focus from the coal, iron, and heavy engineering industries of the railway phase to machine-tools, chemicals, and electrical equipment. This, for example, was the transition through which Germany, Britain, France, and the United States had passed by the end of the nineteenth century or shortly thereafter.

Specifically,

- The economy diversifies in to new areas (sectors), and also it produces wide range of goods and services
- Technological innovation provides a range of investment opportunities
- There will be less reliance on imports
- the rate of investment increases from 10% of the GDP to higher limits up to 20 %
- Important industries come up and technical knowledge spreads to other sectors
- Real income per head starts rising as GDP growth rate becomes substantially higher than population growth rate

- Real Per Capita Income increases as the growth rate of GDP exceeds the population growth rate
- Specialization and division of labor become complex and compound

e) Stages of Self-Sustained Growth and Mass Consumption

We come now to the age of high mass-consumption, where, in time, the leading sectors shift towards durable consumers' goods and services. It is the stage that countries reach once they have developed. Rostow believed that this was the stage which Western **countries** were in. Living conditions are good and the economy is based on the consumer society.

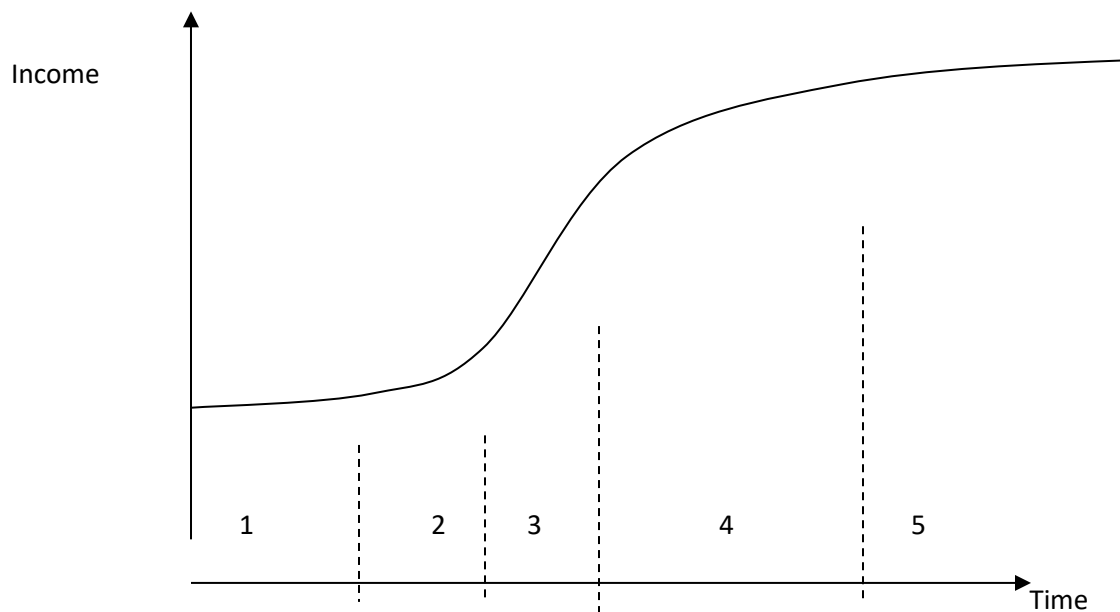
As societies achieved maturity in the twentieth century two things happened: real income per head rose to a point where a large number of persons gained a command over consumption which transcended basic food, shelter, and clothing; and the structure of the working force changed in ways which increased not only the proportion of urban to total population, but also the proportion of the population working in offices or in skilled factory jobs--aware of and anxious to acquire the consumption fruits of a mature economy.

In addition to these economic changes, the society ceased to accept the further extension of modern technology as an overriding objective. It is in this post-maturity stage, for example, that, through the political process, Western societies have chosen to allocate increased resources to social welfare and security. The emergence of the welfare state is one manifestation of a society's moving beyond technical maturity; but it is also at this stage that resources tend increasingly to be directed to the production of consumers' durables and to the diffusion of services on a mass basis, if consumers' sovereignty reigns. The sewing-machine, the bicycle, and then the various electric-powered household gadgets were gradually diffused. Historically, however, the decisive element has been the cheap mass automobile with its quite revolutionary effects--social as well as economic--on the life and expectations of society. More clearly, at this stage:

- the economy moves to mass consumption
- consumer durable industries flourish
- the service sector gets dominance
- Per capita real income becomes so high that consumptions transcends beyond food, clothes and shelter to goods of comforts and luxuries on a mass scale.
- Urbanization and industrialization change the values of society and development consciousness increases

- People don't feel any pinch of shortages

Moreover Kindelberger illustrates the stages in Rostow's model with 'S' curve as shown below.



Key:

1 = traditional stage, 2 = precondition for take-off, 3 = take-off stage,
4 = maturity stage, 5 = mass consumption stage

The advanced countries, it was argued, had all passed the stage of “take-off into self-sustaining growth” and the underdeveloped countries that were still in either the “traditional” society or the “preconditions” stage had only to follow a certain set of rules of development to take off in their turn into self-sustaining economic growth.

One of the principal strategies of development necessary for any take off was mobilization of domestic and foreign saving in order to generate sufficient investment to accelerate growth. The economic mechanism by which more investment leads to more growth can be described in terms of the Harrod-Domar growth model.

Limitations of Rostow Growth Model

- Many development economists argue that Rostow's model was developed with Western cultures in mind and not applicable to LDCs. That means the model is ethnocentric; it is based

on American and European history and shows American high mass consumption to be the end result of development.

- The Rostow starts with the assumption that countries will develop along the same path, that countries cannot skip stages, do stages in a different order. Splitting the process of development into stages may be simplifying what actually occurs.
- The model assumes that capitalist development is the only way to achieve economic development his model represents a "non-communist manifesto".
- It does not set down the detailed nature of the pre-conditions for growth. In reality policy makers are unable to clearly identify stages as they merge together.
- Thus as a predictive model it is not very helpful. Perhaps its main use is to highlight the need for investment. Like many of the other models of economic developments it is essentially a growth model and does not address the issue of development in the wider context.

These stages are not merely descriptive. They are not merely a way of generalizing certain factual observations about the sequence of development of modern societies. They have an inner logic and continuity. . . . They constitute, in the end, both a theory about economic growth and a more general, if still highly partial, theory about modern history as a whole.

The advanced countries, it was argued, had all passed the stage of "take-off into self-sustaining growth," and the underdeveloped countries that were still in either the traditional society or the "preconditions" stage had only to follow a certain set of rules of development to take off in their turn into self-sustaining economic growth.

One of the principal tricks of development necessary for any takeoff was the mobilization of domestic and foreign saving in order to generate sufficient investment to accelerate economic growth. The economic mechanism by which more investment leads to more growth can be described in terms of the **Harrod-Domar growth model**.

The Harrod-Domar Growth Model

Every economy must save a certain proportion of its national income, if only to replace worn-out or impaired capital goods (buildings, equipment, and materials). However, in order to grow, new investments representing net additions to the **capital stock** are necessary. If we assume that there is some direct economic relationship between the size of the total capital stock, K , and total GNP, Y —for example, if \$3 of capital is always necessary to produce a \$1 stream of GNP—

it follows that any net additions to the capital stock in the form of new investment will bring about corresponding increases in the flow of national output, GNP.

Suppose that this relationship, known in economics as the **capital-output ratio**, is roughly 3 to 1. If we define the capital-output ratio as k and assume further that the national **savings ratio**, s , is a fixed proportion of national output (e.g., 6%) and that total new investment is determined by the level of total savings, we can construct the following simple model of economic growth:

p.70

1. Saving (S) is some proportion, s , of national income (Y) such that we have the simple equation

$$S = sY \quad (3.1)$$

2. Investment (I) is defined as the change in the capital stock, K , and can be represented by ΔK such that

$$I = \Delta K \quad (3.2)$$

But because the total capital stock, K , bears a direct relationship to total national income or output, Y , as

expressed by the capital-output ratio, k , it follows that

$$K/Y = k$$

or

$$\Delta K/\Delta Y = k$$

or finally,

$$\Delta K = k\Delta Y \quad (3.3)$$

3. Finally, because total national savings, S , must equal total investment, I , we can write this equality as

$$S = I \quad (3.4)$$

But from Equation 3.1 we know that $S = sY$ and from Equations 3.2 and 3.3 we know that

$$I = \Delta K = k\Delta Y$$

It therefore follows that we can write the "identity" of saving equaling investment shown by Equation 3.4 as

$$S = sY = k\Delta Y = \Delta K = I \quad (3.5)$$

or simply as

$$sY = k\Delta Y \quad (3.6)$$

Dividing both sides of Equation 3.6 first by Y and then by k , we obtain the following expression:

$$\Delta Y/Y = s/k \quad (3.7)$$

Note that the left-hand side of Equation 3.7, $\Delta Y/Y$, represents the rate of change or rate of growth of GNP (i.e., it is the percentage change in GNP).

Equation 3.7, which is a simplified version of the famous Harrod-Domar equation in their theory of economic growth, states simply that the rate of growth of GNP ($\Delta Y/Y$) is determined jointly by the national savings ratio, s , and the national capital-output ratio, k . More specifically, it says that the growth rate of national income will be directly or positively related to the savings ratio (i.e., the more an economy is able to save—and invest—out of a given GNP, the greater will be the growth of that GNP) and inversely or negatively related to the economy's capital-output ratio (i.e., the higher k is, the lower will be the rate of GNP growth).

The economic logic of Equation 3.7 is very simple. In order to grow, economies must save and invest a certain proportion of their GNP. The more they can save and invest, the faster they can grow. But the actual rate at which they can grow for any level of saving and investment—how much additional output can be had from an additional unit of investment—can be measured by the inverse of the capital-output ratio, k , because this inverse, $1/k$, is simply the output-capital or output-investment ratio. It follows that multiplying the rate of new investment, $s = I/Y$, by its productivity, $1/k$, will give the rate by which national income or GNP will increase.

Obstacles and Constraints

Returning to the stages-of-growth theories and using Equation 3.7 of our simple Harrod-Domar growth model, we learn that one of the most fundamental "tricks" of economic growth is simply to increase the proportion of national income saved (i.e., not consumed). If we can raise s in Equation 3.7, we can increase $\Delta Y/Y$, the rate of GNP growth. For example, if we assume that the national capital-output ratio in some less developed country is, say, 3 and the aggregate saving ratio is 6% of GNP, it follows from Equation 3.7 that this country can "growth rate of 2% per year because

$$\frac{\Delta Y}{Y} = \frac{s}{k} = \frac{6\%}{3} = 2\% \quad (3.8)$$

Now if the national savings rate can somehow be increased from 6% to, say, 15%—through increased taxes, foreign aid, and/or general consumption sacrifices—GNP growth can be increased from 2% to 5% because now

$$\frac{\Delta Y}{Y} = \frac{s}{k} = \frac{15\%}{3} = 5\% \quad (3.9)$$

In fact, Rostow and others defined the takeoff stage precisely in this way. Countries that were able to save 15% to 20% of GNP could grow ("develop") at a much faster rate than those that saved less. Moreover, this growth would then be self-sustaining. The tricks of economic growth and development, therefore, are simply a matter of increasing national savings and investment.

The main obstacle to or constraint on development, according to this theory, was the relatively low level of new capital formation in most poor countries. But if a country wanted to grow at, say, a rate of 7% per year and if it could not generate savings and investment at a rate of 21% of national income (assuming that k , the final aggregate capital-output ratio, is 3) but could only manage to save 15%, it could seek to fill this "savings gap" of 6% through either foreign, aid or private foreign investment.

Thus the "capital constraint" stages approach to growth and development became a rationale and (in terms of cold war politics) an opportunistic tool for justifying massive transfers of capital and technical assistance from the developed to the less developed nations. It was to be the Marshall Plan all over again, but this time for the underdeveloped nations of the Third World!

Necessary versus Sufficient Conditions: Some Criticisms of the Stages Model

Unfortunately, the tricks of development embodied in the theory of stages of growth did not always work. And the basic reason why they didn't work was not because more saving and investment isn't a necessary condition for accelerated rates of economic growth—it is—but rather because it is not a sufficient condition. Once again we are faced with an example of what we discussed in Chapter 1: the inappropriateness or irrelevance of many of the implicit assumptions of Western economic theory for the actual conditions in Third World nations. The Marshall Plan worked for Europe because the European countries receiving aid possessed the necessary structural, institutional, and attitudinal conditions (e.g., well-integrated commodity and money markets, highly developed transport facilities, a well-trained and educated work force, the motivation to

succeed, an efficient government bureaucracy) to convert new capital effectively into higher levels of output. The Rostow and Harrod-Domar models implicitly assume the existence of these same attitudes and arrangements in underdeveloped nations. Yet in many cases they are lacking, as are complementary factors such as managerial competence, skilled labor, and the ability to plan and administer a wide assortment of development projects.

But at an even more fundamental level, the stages theory failed to take into account the crucial fact that contemporary Third World nations are part of a highly integrated and complex international system in which even the best and most intelligent development strategies can be nullified by external forces beyond the countries' control. One simply cannot claim, as many economists did in the 1950s and 1960s, that development is merely a matter of removing obstacles and supplying various missing components like capital, foreign-exchange skills, and management—tasks in which the developed countries could theoretically play a major role. It was because of numerous failures and growing disenchantment with this strictly economic theory of development that a radically different approach was championed primarily by Third World intellectuals, one that attempted to combine economic and institutional factors into a social systems model of international development and underdevelopment. This is the international dependence paradigm, which we will review shortly. But first we examine two prominent examples of what emerged as mainstream Western theories of development during the 1970s: the theoretical and empirical models of structural change.

3.2. Structural-Change Models

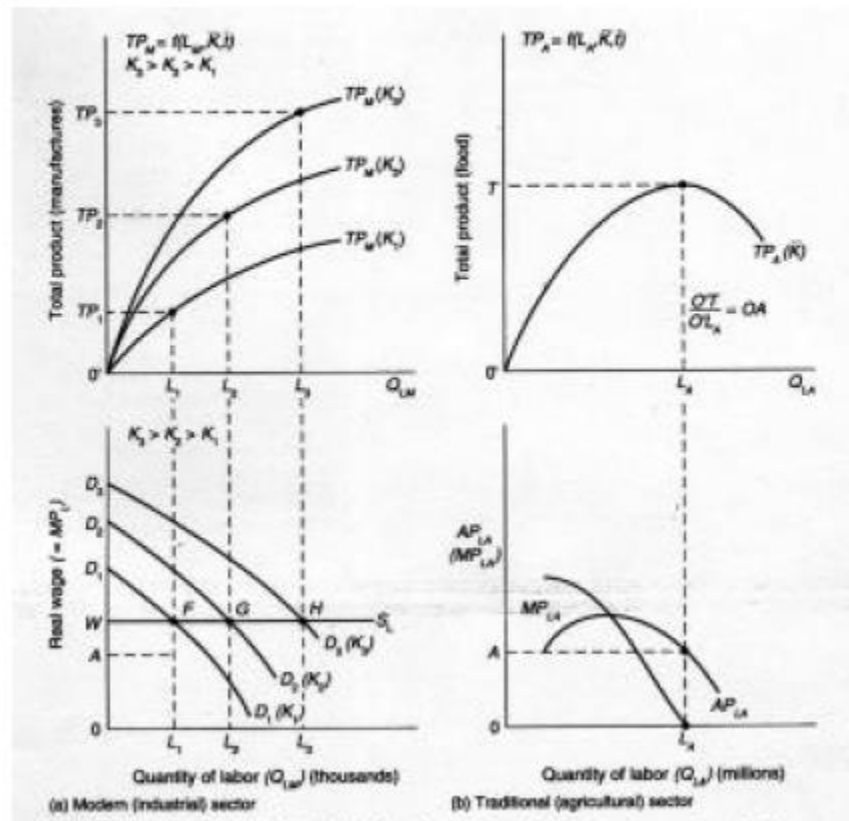
Structural-change theory focuses on the mechanism by which underdeveloped economies transform their domestic economic structures from a heavy emphasis on traditional subsistence agriculture to a more modern, more urbanized, and more industrially diverse manufacturing and service economy. It employs the tools of neoclassical price and resource allocation theory and modern econometrics to describe how this transformation process takes place. Two well-known representative examples of the structural-change approach are the "two-sector surplus labor" theoretical model of W. Arthur Lewis and the "patterns of development" empirical analysis of Hollis B. Chenery.

[The Lewis Theory of Development](#)

Basic Model

One of the best-known early theoretical models of development that focused on the structural transformation of a primarily subsistence economy was that formulated by Nobel laureate W. Arthur Lewis in the mid-1950s and later modified, formalized, and extended by John Fei and Gustav Ranis.ⁱⁱⁱ The Lewis two sector model became the general theory of the development process in surplus labor Third World nations during most of the 1960s and early 1970s. It still has many adherents today, especially among American development economists. In the Lewis model, the underdeveloped economy consists of two sectors: (1) a traditional, overpopulated rural subsistence sector characterized by zero marginal labor productivity—a situation that permits Lewis to classify this as surplus labor in the sense that it can be withdrawn from the agricultural sector without any loss of output—and (2) a high-productivity modern urban industrial sector into which labor from the subsistence sector is gradually transferred. The primary focus of the model is on both the process of labor transfer and the growth of output and employment in the modern sector. Both labor transfer and modern-sector employment growth are brought about by output expansion in that sector. The speed with which this expansion occurs is determined by the rate of industrial investment and capital accumulation in the modern sector. Such investment is made possible by the excess of modern-sector profits over wages on the assumption that capitalists reinvest all their profits. Finally, the level of wages in the urban industrial sector is assumed to be constant and determined as a given premium over a fixed average subsistence level of wages in the traditional agricultural sector. (Lewis assumed that urban wages would have to be at least 30% higher than average rural income to induce workers to migrate from their home areas.) At the constant urban wage, the supply curve of rural labor to the modern sector is considered to be perfectly elastic.

We can illustrate the Lewis model of modern-sector growth in a two-sector economy by using Figure 3.1. Consider first the traditional agricultural sector portrayed in the two right-side diagrams of Figure 3.1b. The upper diagram shows how subsistence food production varies with increases in labor inputs. It is a typical agricultural production function where the total output or product



(TP_A) of food is determined by changes in the amount of the only variable input, labor (LA), given a fixed quantity of capital, K , and unchanging traditional technology, t . In the lower right diagram, we have the **average** and **marginal product** of labor curves, AP_{LA} , and MP_{LA} , which are derived from the total product curve shown immediately above. The quantity of agricultural labor (QLA) available is the same on both horizontal axes and is expressed in millions of workers, as Lewis is describing an underdeveloped economy where 80% to 90% of the population lives and works in rural areas.

Lewis makes two assumptions about the traditional sector. First, there is surplus labor in the sense that MP_{LA} is zero, and second, all rural workers share *equally* in the output so that the rural real wage is determined by the *average* and not the marginal product of labor (as will be the case in the modern sector). Assume that there are $OLA (= O'LA)$ agricultural workers producing $O'T$ food,

which is shared equally as OA food per person (this is the average product, which is equal to $O'T/O'LA$). The marginal product of these OLA workers is zero, as shown in the bottom diagram of Figure 3.1b; hence the surplus-labor assumption.

The upper-left diagram of Figure 3.1a portrays the total product (production function) curves for the modern, industrial sector. Once again, output of, say, manufactured goods (TPM) is a function of a variable labor input, LM , for a given capital stock (K) and technology (t). On the horizontal axes, the quantity of labor employed to produce an output of, say, $O'TP1$, with capital stock $K1$, is expressed in thousands of urban workers, $O'L1 (=OL1)$.

In the Lewis model, the modern sector capital stock is allowed to increase from $K1$ to $K2$ to $K3$ as a result of the reinvestment of profits by capitalist industrialists. This will cause the total product curves in Figure 3.1a to shift upward from $TPM(K1)$ to $TPM(K2)$ to $TPM(K3)$.

The process that will generate these capitalist profits for reinvestment and growth is illustrated in the lower-left diagram of Figure 3.1a. Here we have modern sector marginal labor product curves derived from the TPM curves of the upper diagram. Under the assumption of perfectly competitive labor markets in the modern sector, these marginal product curves are in fact the actual demand curves for labor. Here is how the system works.

Segment OA in the lower diagrams of Figures 3.1a and 3.1b represents the average level of real subsistence income in the traditional rural sector. Segment OW in Figure 3.1a is therefore the real wage in the modern capitalist sector. At this wage, the supply of rural labor is assumed to be unlimited or perfectly elastic, as shown by the horizontal labor supply curve WSL . In other words, Lewis assumes that at urban wage OW above rural average income OA , modern sector employers can hire as many surplus rural workers as they want without fear of rising wages. (Note again that the quantity of labor in the rural sector, Figure 3.1b, is expressed in millions whereas in the modern urban sector Figure 3.1a, units of labor are expressed in thousands.) Given a fixed supply of capital $K1$, in the initial stage of modern-sector growth, the demand curve for labor is determined by labor's declining marginal product and is shown by the negatively sloped curve $D1(K1)$ in the lower-left diagram.

Because profit-maximizing modern-sector employers are assumed to hire laborers to the point where their marginal physical product is equal to the real wage (i.e., the point F of intersection between the labor demand and supply curves), total modern-sector employment will be equal to $OL1$. Total modern-sector output ($O'TP1$) would be given by the area bounded by points $OD1FL1$.

The share of this total output paid to workers in the form of wages would be equal, therefore, to the area of the rectangle $OWFL1$. The balance of the output shown by the area $WD1F$ would be the total profits that accrue to the capitalists. Because Lewis assumes that all of these profits are reinvested, the total capital stock in the modern sector will rise from $K1$ to $K2$. This larger capital stock causes the total product curve of the modern sector to rise to $TPM(K2)$, which in turn induces a rise in the marginal product demand curve for labor. This outward shift in the labor demand curve is shown by line $D2(K2)$ in the bottom half of Figure 3.1a. A new equilibrium modern sector employment level will be established at point G with $OL2$, workers now employed. Total output rises to $O'TP2$, or $OD2GL2$, while total wages and profits increase to $OWGL2$, and $WD2G$, respectively. Once again, these larger ($WD2G$) profits are reinvested, increasing the total capital stock to $K3$, shifting the total product and labor demand curves to $TPM(K3)$ and to $D3(K3)$ respectively, and raising the level of modern-sector employment to $OL3$.

This process of modern-sector **self-sustaining growth** and employment expansion is assumed to continue until all surplus rural labor is absorbed in the new industrial sector. Thereafter, additional workers can be withdrawn from the agricultural sector only at a higher cost of lost food production because the declining labor-to-land ratio means that the marginal product of rural labor is no longer zero. Thus the labor supply curve becomes positively sloped as modern-sector wages and employment continue to grow. The structural transformation of the economy will have taken place, with the balance of economic activity shifting from traditional rural agriculture to modern urban industry.

Criticisms of the Lewis Model

Although the Lewis two-sector development model is both simple and roughly in conformity with the historical experience of economic growth in the West, three of its key assumptions do not fit the institutional and economic realities of most contemporary Third World countries.

First, the model implicitly assumes that the rate of labor transfer and employment creation in the modern sector is proportional to the rate of modern-sector capital accumulation. The faster the rate of capital accumulation, the higher the growth rate of the modern sector and the faster the rate of new job creation. But what if capitalist profits are reinvested in more sophisticated laborsaving capital equipment rather than just duplicating the existing capital as is implicitly assumed in the Lewis model? (We are, of course, here accepting the debatable assumption that capitalist profits are in fact reinvested in the local economy and not sent abroad as a form of "capital flight" to be

added to the deposits of Western banks!) Figure 3.2 reproduces the lower, modern-sector diagram of Figure 3.1a, only this time the labor demand curves do not shift uniformly outward but in fact cross.

Demand curve $D2(K2)$ has a greater negative slope than $D1(K1)$ to reflect the fact that additions to the capital stock embody labor saving technical progress—that is, $K2$ technology requires less labor per unit of output than $K1$ technology does.

We see that even though total output has grown substantially (i.e., $OD2EL1$ is significantly greater than $OD1EL1$), total wages ($OWEL1$) and employment ($OL1$) remain unchanged. All of the extra output accrues to capitalists in the form of excess profits. Figure 3.2, therefore, provides an illustration of what some might call "antidevelopmental" economic growth—all the extra income and output growth are distributed to the few owners of capital while income and employment levels for the masses of workers remain largely unchanged. Although total GNP would rise, there would be little or no improvement in aggregate social welfare measured, say, in terms of more widely distributed gains in income and employment.

The second questionable assumption of the Lewis model is the notion that surplus labor exists in rural areas while there is full employment in the urban areas. Most contemporary research indicates that the reverse is more likely true in many Third World countries—there is substantial unemployment in urban areas but little general surplus labor in rural locations. True, there are both seasonal and geographic exceptions to this rule (e.g., parts of the Asian subcontinent and isolated regions of Latin America where land ownership is very unequal) but by and large, development economists today seem to agree that the assumption of urban surplus labor is empirically more valid than Lewis's assumption of rural surplus labor.

The third unreal assumption is the notion of a competitive modern-sector labor market that guarantees the continued existence of constant real urban wages up to the point where the supply of rural surplus labor is exhausted. It will be demonstrated in Chapter 8 that prior to the 1980s, a striking feature of urban labor markets and wage determination in almost all developing countries was the tendency for these wages to rise substantially over time, both in absolute terms and relative to average rural incomes, even in the presence of rising levels of open modern-sector unemployment and low or zero marginal productivity in agriculture. Institutional factors such as union bargaining power, civil service wage scales, and multinational corporations' hiring practices

tend to negate whatever competitive forces might exist in Third World modern-sector labor markets.

We conclude, therefore, that when one takes into account the laborsaving bias of most modern technological transfer, the existence of substantial capital flight, the widespread nonexistence of rural surplus labor, the growing prevalence of urban surplus labor, and the tendency for modern-sector wages to rise rapidly even where substantial open unemployment exists, the Lewis two-sector model—though extremely valuable as an early conceptual portrayal of the development process of sectoral interaction and structural change—requires considerable modification in assumptions and analysis to fit the reality of contemporary Third World nations.

Structural Change and Patterns of Development

Like the earlier Lewis model, the patterns-of-development analysis of structural change focuses on the sequential process through which the economic, industrial, and institutional structure of an underdeveloped economy is transformed over time to permit new industries to replace traditional agriculture as the engine of economic growth. However, in contrast to the Lewis model and the original stages view of development, increased savings and investment are perceived by patterns-of-development analysts as necessary but not sufficient conditions for economic growth. In addition to the accumulation of capital, both physical and human, a set of interrelated changes in the economic structure of a country are required for the transition from a traditional economic system to a modern one. These structural changes involve virtually all economic functions including the transformation of production and changes in the composition of consumer demand, international trade, and resource use as well as changes in socioeconomic factors such as urbanization and the growth and distribution of a country's population.

Empirical structural-change analysts emphasize both domestic and international constraints on development. The domestic ones include economic constraints such as a country's resource endowment and its physical and population size as well as institutional constraints such as government policies and objectives. International constraints on development include access to external capital, technology, and international trade. Differences in development level among developing countries are largely ascribed to these domestic and international constraints. However, it is the international constraints that make the transition of currently developing countries differ from that of now industrialized countries. To the extent that developing countries have access to the opportunities presented by the industrial countries as sources of capital, technology, and

manufactured imports as well as markets for exports, they can make the transition at an even faster rate than that achieved by the industrial countries during the early periods of their economic development. Thus, unlike the earlier stages model, the structural-change model recognizes the fact that developing countries are part of a highly integrated international system that can promote (as well as hinder) their development.

The best-known model of structural change is the one based largely on the empirical work of Harvard economist Hollis B. Chenery, who examined patterns of development for numerous Third World countries during the postwar period. His empirical studies, both cross-sectional (among countries at a given point in time) and timeseries (over long periods of time), of countries at different levels of per capita income led to the identification of several characteristic features of the development process. These included the shift from agricultural to industrial production, the steady accumulation of physical and human capital, the change in consumer demands from emphasis on food and basic necessities to desires for diverse manufactured goods and services, the growth of cities and urban industries as people migrate from farms and small towns, and the decline in family size and overall population growth as children lose their economic value and parents substitute child quality (education) for quantity.

Conclusions and Implications

The structural changes that we have described are the "average" patterns of development Chenery and colleagues observed among countries in time-series and cross-sectional analyses. The major hypothesis of the structural change model is that development is an identifiable process of growth and change whose main features are similar in all countries. However, as mentioned earlier, the model does recognize that differences can arise among countries in pace and pattern of development, depending on their particular set of circumstances. Factors influencing the development process include a country's resource endowment and size, its government's policies and objectives, the availability of external capital and technology, and the international trade environment.

In short, empirical studies on the process of structural change lead to the conclusion that the pace and pattern of development can vary according to both domestic and international factors, many of which lie beyond the control of an individual developing nation. Yet despite this variation, structural-change economists argue that one can identify certain patterns occurring in almost all countries during the development process. And these patterns, they argue, may be affected by the

choice of development policies pursued by LDC governments as well as the international trade and foreign-assistance policies of developed nations. Hence structural-change analysts are basically optimistic that the "correct" mix of economic policies will generate beneficial patterns of self-sustaining growth. The international-dependence school, in contrast, is much less sanguine and in many cases is downright pessimistic. Proponents argue that the statistical averages that structural-change economists calculate from a diverse range of rich and poor countries are not only of limited practical value in identifying the critical factors in a particular nation's development process but, more important, divert attention from the real factors in the global economy that maintain and perpetuate the poverty of Third World nations. Let's now see what this dependence theory is all about.

3.3. The international-Dependence Revolution

During the 1970s, international-dependence models gained increasing support, especially among Third World intellectuals, as a result of growing disenchantment with both the stages and structural-change models.

Essentially, international-dependence models view Third World countries as beset by institutional, political, and economic rigidities, both domestic and international, and caught up in a **dependence** and **dominance** relationship to rich countries. Within this general approach there are three major streams of thought: the neocolonial dependence model, the false-paradigm model, and the dualistic-development thesis.

The Neocolonial Dependence Model

The first major stream, which we call the **neocolonial dependence model**, is an indirect outgrowth of Marxist thinking. It attributes the existence and continuance of Third World underdevelopment primarily to the historical evolution of a highly unequal international capitalist system of rich country-poor country relationships. Whether because rich nations are intentionally exploitative or unintentionally neglectful, the coexistence of rich and poor nations in an international system dominated by such unequal power relationships between the **center** (the developed countries) and the **periphery** (the LDCs) renders attempts by poor nations to be self-reliant and independent difficult and sometimes even impossible. Certain groups in the developing countries (including landlords, entrepreneurs, military rulers, merchants, salaried public officials, and trade union leaders) who enjoy high incomes, social status, and political power constitute a small elite ruling class whose principal interest, whether knowingly or not, is in the perpetuation of the international

capitalist system of inequality and conformity by which they are rewarded. Directly and indirectly, they serve (are dominated by) and are rewarded by (are dependent on) international special-interest power groups including multinational corporations, national bilateral aid agendas, and multilateral assistance organizations like the World Bank or the International Monetary Fund (IMF), which are tied by allegiance or funding to the wealthy capitalist countries. The elites' activities and viewpoints often serve to inhibit any genuine reform efforts that might benefit the wider population and in some cases actually lead to even lower levels of living and to the perpetuation of **underdevelopment**. In short, the neo-Marxist, neocolonial view of underdevelopment attributes a large part of the Third World's continuing and worsening poverty to the existence and policies of the industrial capitalist countries of the Northern Hemisphere and their extensions in the form of small but powerful elite or **comprador groups** in the less developed countries. Underdevelopment is thus seen as an *externally* induced phenomenon, in contrast to the linear-stages and structural-change theories' stress on *internal* constraints such as insufficient savings and investment or lack of education and skills.

Revolutionary struggles or at least major restructurings of the world capitalist system are therefore required to free dependent Third World nations from the direct and indirect economic control of their First World and domestic oppressors.

The False-Paradigm Model

A second and a less radical international-dependence approach to development, which we might call the **false-paradigm model**, attributes Third World underdevelopment to faulty and inappropriate advice provided by well-meaning but often uninformed, biased, and ethnocentric international "expert" advisers from developed-country assistance agencies and multinational donor organizations. These experts offer sophisticated concepts, elegant theoretical structures, and complex econometric models of development that often lead to inappropriate or incorrect policies. Because of institutional factors such as the central and remarkably resilient role of traditional social structures (tribe, caste, class, etc.), the highly unequal ownership of land and other property rights, the disproportionate control by local elites over domestic and international financial assets, and the very unequal access to credit, these policies, based as they often are on mainstream, Lewis-type surplus-labor or Chenery-type structural-change models, in many cases merely serve the vested interests of existing power groups, both domestic and international.

In addition, according to this argument, leading university intellectuals, trade unionists, future high-level government economists, and other civil servants all get their training in developed-country institutions where they are unwittingly served an unhealthy dose of alien concepts and elegant but inapplicable theoretical models.

Having little or no really useful knowledge to enable them to come to grips in an effective way with real development problems, they often tend to become unknowing or reluctant apologists for the existing system of elitist policies and institutional structures. In university economics courses, for example, this typically entails the perpetuation of the teaching of many irrelevant Western concepts and models, while in government policy discussions too much emphasis is placed on attempts to measure capital-output ratios, to increase savings and investment ratios, or to maximize GNP growth rates. As a result, desirable institutional and structural reforms, many of which we have discussed, are neglected or given only cursory attention.

The Dualistic-Development Thesis

Implicit in structural-change theories and explicit in international-dependence theories is the notion of a world of dual societies, of rich nations and poor nations and, in the developing countries, pockets of wealth within broad areas of poverty. **Dualism** is a concept widely discussed in development economics. It represents the existence and persistence of increasing divergences between rich and poor nations and rich and poor peoples on various levels. Specifically, the concept of dualism embraces four key elements:

1. Different sets of conditions, of which some are "superior" and others "inferior," can coexist in a given space. Examples of this element of dualism include Lewis's notion of the coexistence of modern and traditional methods of production in urban and rural sectors; the coexistence of wealthy, highly educated elites with masses of illiterate poor people; and the dependence notion of the coexistence of powerful and wealthy industrialized nations with weak, impoverished peasant societies in the international economy.
2. This coexistence is chronic and not merely transitional. It is not due to a temporary phenomenon, in which case time could eliminate the discrepancy between superior and inferior elements. In other words, the international coexistence of wealth and poverty is not simply a historical phenomenon that will be rectified in time. Although both the stages-of-growth theory and the structural-change models implicitly make such an assumption, the facts of growing international inequalities seem to refute it.

3. Not only do the degrees of superiority or inferiority fail to show any signs of diminishing, but they even have an inherent tendency to increase. For example, the productivity gap between workers in developed countries and their counterparts in most LDCs seems to widen with each passing year.

4. The interrelations between the superior and inferior elements are such that the existence of the superior elements does little or nothing to pull up the inferior element, let alone "trickle down" to it. In fact, it may actually serve to push it down—to "develop its underdevelopment."

Conclusions and Implications

Whatever their ideological differences, the advocates of the neocolonial-dependence, false-paradigm, and dualism models reject the exclusive emphasis on traditional Western economic theories designed to accelerate the growth of GNP as the principal index of development. They question the validity of Lewis type two-sector models of modernization and industrialization in light of their questionable assumptions and recent Third World history. They further reject the claims made by Chenery and others that there exist well-defined empirical patterns of development that should be pursued by most poor countries on the periphery of the world economy.

Instead, dependence, false-paradigm, and dualism theorists place more emphasis on international power imbalances and on needed fundamental economic, political, and institutional reforms, both domestic and worldwide. In extreme cases, they call for the outright expropriation of privately owned assets in the expectation that public asset ownership and control will be a more effective means to help eradicate absolute poverty,

provide expanded employment opportunities, lessen income inequalities, and raise the levels of living (including health, education, and cultural enrichment) of the masses. Although a few radical neo-Marxists would even go so far as to say that economic growth and structural change do not matter, the majority of thoughtful observers recognize that the most effective way to deal with these diverse social problems is to accelerate the pace of economic growth through domestic and international reforms accompanied by a judicious mixture of both public and private economic activity.

However, while this international dependence revolution in development theory was capturing the imagination of many Western and Third World scholars during the 1970s, a neoclassical free-market counterrevolution was beginning to emerge, ultimately to dominate Western (and, to a lesser extent. Third World) development writings during the 1980s and 1990s.

3.4. The Neoclassical Counterrevolution

Challenging the Statist Approach: Privatization and Free Markets

In the 1980s, the political ascendancy of conservative governments in the United States, Canada, Britain, and West Germany brought with it a **neoclassical counterrevolution** in economic theory and policy. This counterrevolution favored supply-side macroeconomics and the privatization of public corporations in developed-nations and called for the dismantling of public ownership, statist planning, and government regulation of economic activities in developing countries. Neoclassicists obtained controlling votes on the boards of the world's two most powerful international financial agendas—the World Bank and the International Monetary Fund; in conjunction and with the simultaneous erosion of influence of organizations such as the International Labor Organization (ILO), the United Nations Development Program (UNDP), and the United Nations Conference on Trade and Development (UNCTAD), which more fully represent the views of Third World delegates, it was inevitable that the neoconservative, free-market challenge to the interventionist arguments of dependence theorists would gather momentum.

The central argument of the neoclassical counterrevolution is that underdevelopment results from poor resource allocation due to incorrect pricing policies and too much state intervention by overly active Third World governments. Rather, the leading writers of the counterrevolution school, including Lord Peter Bauer, Deepak Lal, Ian Little, Harry Johnson, Bela Balassa, Julian Simon, Jagdish Bhagwati, and Anne Krueger, argue that it is this very state intervention in economic activity that slows the pace of economic growth. The neoconservatives argue that by permitting competitive **free markets** to flourish, privatizing state owned enterprises, promoting free trade and export expansion, welcoming investors from developed countries, and eliminating the plethora of government regulations and price distortions in factor, product, and financial markets, both economic efficiency and economic growth will be stimulated. Contrary to the claims of the dependence theorists, the neoclassical counterrevolutionaries argue that the Third World (many don't even accept this terminology) is underdeveloped not because of the predatory activities of the First World and the international agencies that it controls but rather because of the heavy hand of the state and the corruption, inefficiency, and lack of economic incentives that permeate the economies of developing nations. What is needed, therefore, is not a reform of the international economic system or a restructuring of dualistic developing economies or an increase in foreign aid

or attempts to control population growth or a more effective central planning system. Rather, it is simply a matter of promoting free markets and laissez-faire economics within the context of permissive governments that allow the "magic of the marketplace" and the "invisible hand" of market prices to guide resource allocation and stimulate economic development. They point both to the success of countries like South

Korea Taiwan, Hong Kong, and Singapore as "free market" examples (although, as we shall see later, these

Asian tigers are far from the laissez-faire prototype ascribed to them by neoconservatives) and to the failures of the public interventionist economies of Africa and Latin America

Traditional ("Old") Neoclassical Growth Theory

Another cornerstone of the neoclassical free-market argument is the assertion that liberalization (opening up) of national markets draws additional domestic and foreign investment and thus increases the rate of capital accumulation. In terms of GNP growth, this is equivalent to raising domestic savings rates, which enhances **capital-labor ratios** and per capita incomes in capital-poor developing countries. Traditional neoclassical models of growth are a direct outgrowth of the Harrod-Domar and Solow models, which both stress the importance of savings. According to **traditional (old) neoclassical growth theory**, output growth results from one or more of three factors: increases in labor quantity and quality (through population growth and education), increases in capital (through saving and investment) and improvements in technology (see Chapter 4). **Closed economies** (those with no external activities) with lower savings rates (other things being equal) grow more slowly in the short run than those with high savings rates and tend to converge to lower per capita income levels.

Open economies (those with trade, foreign investment, etc.) however, experience income convergence at higher levels as capital flows from rich countries to poor countries where capital-labor ratios are lower and thus returns on investments are higher. Consequently, by impeding the inflow of foreign investment, the heavy handedness of LDC governments retards growth in the stagnating economies of the Third World.

Conclusions and Implications

Like the dependence revolution of the 1970s, the neoclassical counterrevolution of the 1980s had its origin in an economics cum ideological view of the Third World and its problems. Whereas dependence theorists (many, but certainly not all, of whom were Third World economists) saw

underdevelopment as an externally induced phenomenon, neoclassical revisionists (most, but certainly not all, of whom were Western economists) saw the problem as an internally induced LDC phenomenon, one of too much government intervention and bad economic policies. Such finger-pointing on both sides is not uncommon in issues so contentious as those that divide rich and poor nations.

But what of the neoclassical counterrevolution's contention that free markets and less government provide the basic ingredients for Third World development? On strictly efficiency (as opposed to equity) criteria, there can be little doubt that market price allocation usually does a better job than state intervention. The problem is that many Third World economies are so different in structure and organization from their Western counterparts that the behavioral assumptions and policy precepts of traditional neoclassical theory are sometimes questionable and often incorrect. Competitive markets simply do not exist, nor, given the institutional, cultural, and historical context of many LDCs, would they necessarily be desirable from a long-term economic and social perspective (see Chapter 16). Consumers as a whole are rarely sovereign about anything, let alone about what goods and services are to be produced, in what quantities, and for whom. Information is limited, markets are fragmented, and much of the economy is still nonmonetized. There are widespread externalities (costs or benefits that accrue to individuals not doing the producing or consuming) of both production and consumption as well as discontinuities in production and indivisibilities (i.e., economics of scale) in technology. Producers, whether private or public, have great power in determining market prices and quantities sold. The ideal of competition is typically just that—an ideal with little relation to reality. Instead of the equilibrium, automatic adjustment framework of neoclassical theory, many LDC markets are better analyzed through disequilibrium, structural adjustment models in which responses to price and wage movements can be "perverse" (not in the direction predicted by traditional free-market models; Although monopolies of resource purchase and product sale are a pervasive Third World phenomenon, the traditional neoclassical theory of monopoly also offers little insight into the day-to-day activities of public and private corporations. Decision rules can vary widely with the social setting, so that profit maximization may be a low-priority objective in comparison with, say, the creation of jobs or the replacement of foreign managers with local personnel (see Chapter 17). Finally, the invisible hand often acts not to promote the general welfare but rather to lift up those who are already well-off while pushing down the vast majority.

Much can be learned from neoclassical theory with regard to the importance of elementary supply-and-demand analysis in arriving at "correct" product, factor, and foreign-exchange prices for efficient production and resource allocation. However, do not confuse free markets with price allocation. Enlightened governments can also make effective use of prices as signals and incentives for influencing socially optimal resource allocations. Indeed, we will often demonstrate the usefulness of various tools of neoclassical theory in our later analysis of problems such as population growth, agricultural stagnation, employment and underemployment, the environment, educational demands, export promotion versus import substitution, devaluation, project planning, monetary policy, and economic privatization. Nevertheless, the reality of the institutional and political structure of many

Third World economies—not to mention their differing value systems and ideologies—often makes the attainment of appropriate economic policies based either on markets or enlightened public intervention an exceedingly difficult endeavor. In an environment of widespread institutional rigidity and severe socioeconomic inequality, *both* markets and governments will typically fail. It is not simply an either-or question based on ideological leaning; rather it is a matter of assessing each individual country's situation on a case by-case basis. Development economists must therefore be able to distinguish between textbook neoclassical theory and the institutional and political reality of contemporary LDCs. They can then choose the neoclassical concepts and models that can best illuminate issues and dilemmas of Third World development and discard those that cannot. This will be our task in Parts II, III, and IV.

Let us now look at our final topic—the recent emergence of a potential fifth approach to analyzing development.

3.5 Dualistic Theories

Dualism means the condition of being double called duality. **Dualistic** is relating to the philosophical doctrine of dualism; "a conflict between **good and evil**". Dualism theories assume the economic and social structures of different sectors they differ in organization, level of development, and goal structures. Usually, the concept of economic dualism differentiates between **two sectors of economy**. The two sectors have **inter relation and interdependence** according to its own pattern. The modern sector can be considered an economic region of industrial countries, and have little effect on the internal market

According to Dr J .H. Boeke there are three types of dualism:

- a) Social Dualism
- b) Technological Dualism
- c) Financial Dualism

a) Social Dualism

Boeke defines a dual society is a society where one of the **two prevailing social system** .The most frequent form of social system imported from abroad in under developed countries. **Imported social system** .is under influence and supervision and uses of advanced techniques and where the average standard of living is high. **On the contrary, the native** one is traditional with low level of techniques along with low standard of living of the average person

b) Technological Dualism

Prof Benjamin Higgins **advocated** the theory of technological dualism. Boeke of social dualism failed to solve the problem of **unemployment** which is the basic problem of under developed countries. Technological dualism;

- Implies the use of different production functions in the **advanced sector** and the **traditional sector** of an under developed economy.
- Associates the structural unemployment or technological unemployment.

Unemployment of underdeveloped areas is not basically due to **lack of effective demand in market**. But, Limited opportunities for technical factors create the problem of unemployment in **underdeveloped areas**. Technological dualism actually relates to phenomena of **underdeveloped countries** with special reference of **unemployment problem**.

c) Financial Dualism

Financial dualism was developed by Prof. H.M.**Myint**; Specified different **interest rates** between the organized and unorganized money markets in **underdeveloped countries**.

Organized money market: like modern market where Interest rate is low

Unorganized money market: like traditional market where the rate of interest is higher

- Consist of the non-institutional lenders like village money lenders, shopkeepers, traders and landlords etc.

- They charge very high rate of interest on account of several factors.

3.6 The process of Cumulative Causation

Circular cumulative causation is a theory developed by Swedish economist Gunnar Myrdal in the year 1956. It is a multi-causal approach where the core variables and their linkages are explained

The idea behind it is that a change in one form of an **institution** will lead to **successive** changes in other **institutions**. These changes are **circular** in that they continue in a cycle, in which there is no end, and cumulative in that they persist in each round. The change does not occur all at once as that would lead to **chaos**, rather the changes occur gradually.

Myrdal maintains that economic development results in a circular causation process leading to rapid development of developed countries. While the weaker countries tend to remain behind and poor. **Myrdal believes** that international and interregional economic relations in practice **involve unequal exchanges** in the sense that the weak is always exploited by the strong. The main cause of backwardness and regional disparities has been the strong **backwash effect and weak spread effects**. That is, In Myrdal's analysis, the growth in developing regions affects the growth in under developing regions through:

- (i) Spread effects and,
- (ii) Backwash effects.

The spread effects

- Are the centrifugal forces of expansionary momentum emanating from the centers of economic expansion to other region?
- Thus, the spread effects have a **positive** impact on the development of other region.
- **On one hand:** Because of growth in the progressive region, on the one hand, demand for agricultural products and raw material from other regions is increased, and
- **On the other:** advanced technology is made available to lagging regions which they **did not formally processes**.
- On account of these two factors, growth in the other regions is promoted.

In contrast to the spread effect,

The backwash effects are those effects emanating from the center of growth that **discourage** growth in the other area. Because of their rapid growth, the centres of growth (or progressive regions) attract net immigration from other parts of the country. There is a net movement of

population, capital, and goods in favour of the progressive regions while the backward regions are continually **deprived**. Since the migration from backward regions to progressive regions is generally selective in the sense that it is normally the **young, the educated; and the healthy that migrate**, the age structure in the lagging regions becomes exploited. All these factors have an adverse effect on the growth of backward regions. Developed region is developing at a faster rate at the cost of backward region. Income earned there is not reinvested in backward regions. But it is relocated to the developed sectors /regions leading to more development in these areas.

Spread effect continues to become stronger in **developed countries**, while backward effect continued to become even more spread in **backward countries**. Myrdal contention is that the free play of market forces and operation of profit motive in the capitalist system normally **tends to increase inequalities** between regions rather than decrease.

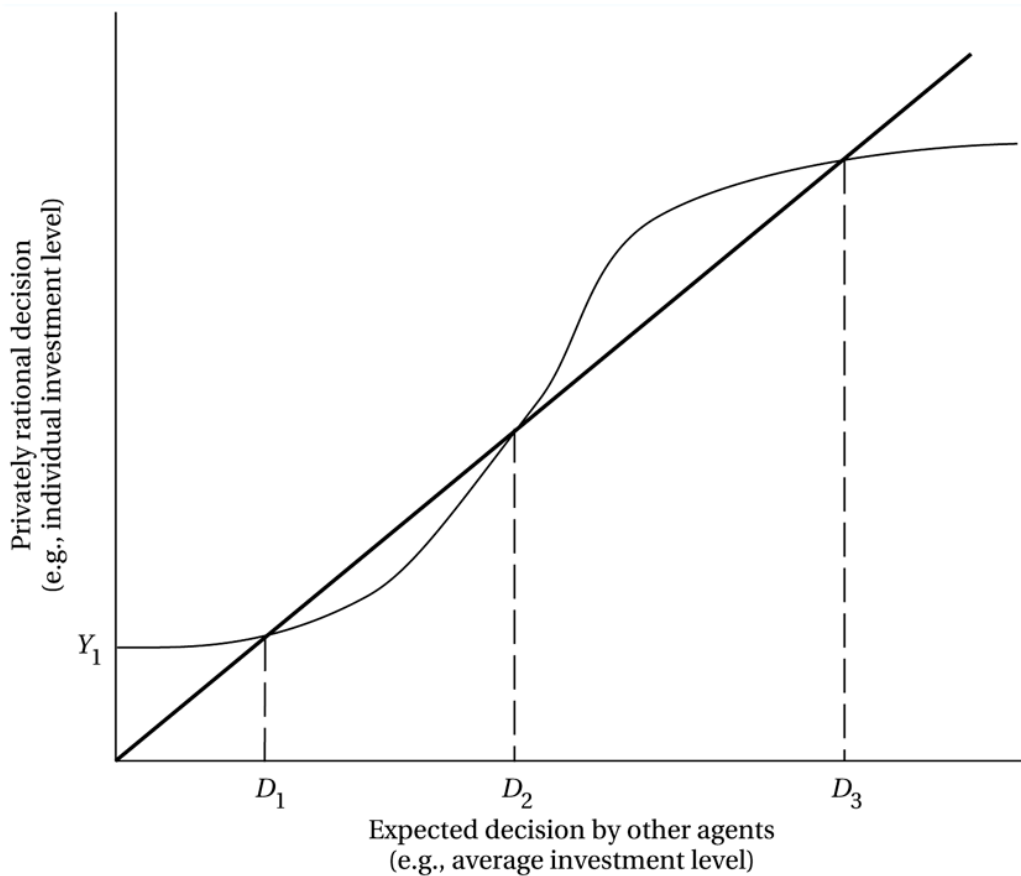
3.7. Underdevelopment as a Coordination Failure

Coordination is failure a newer school of thought on problems of economic development. Coordination failure is a situation in which the inability of economic agents to coordinate their behavior (choices) leads to an outcome (equilibrium) that leaves all agents worse off than in an alternative situation that is also an equilibrium. This can occur when actions are complementary, that is actions taken by one agent reinforces incentives for others to take similar actions. Complementarities often involve investments **whose return depends** on other investments being made by other agents. Economic agents (household, firm and government) always interact in the economy or market .The outcome of such interaction lead to equilibrium. Which is a tendency to be in stable or desirable outcome or best option, which can be single or multiple

Multiple equilibria

Multiple equilibria a condition in which there are more than one equilibrium exists. These equilibria sometimes may be ranked, in the sense that one is preferred over another, but the unaided market will not move the economy to the preferred outcome. We can illustrate multiple equilibria with help of standard diagram which indicate possible coordination failure (Figure 4.1)

Often, these models can be diagrammed by graphing an S-shaped function and the 45° line. Equilibrium is found where the “privately rational decision function” (the S-shaped curve in Figure 4.1) crosses the 45-degree line.

Figure 4.1 Multiple Equilibria**Low level of equilibrium**

Equilibria are Stable when function crosses the 45° line from above and Unstable when function crosses the 45° line from below. A developing economy might get stuck at a low level equilibrium characterized with;

- Savings and investment remain at very low level.
- Inefficiency
- Bad Behavior and Norms
- An available higher level equilibrium might not occur because of uncoordinated actions of private agents

The Big Push

Coordination failures lead to market failures. Sometimes this market failures in turn lead to a need for public policy intervention. How would a policy be framed so as to take the economy to a better

equilibrium? Rosenstein-Rodan introduced the idea of a big push, a policy that simultaneously creates a coordinated investment in many different sectors of the economy. Big push is a combined, economy-wide, and typically public policy–led effort to initiate or accelerate economic development across a broad range of new industries and skills.

Big Push Mechanisms

- Raising total demand
- Reducing fixed costs of later entrants to the investments
- Redistributing demand to later periods when other industrializing firms sell
- **Shifting** demand toward manufacturing goods, usually produced in urban areas.
- **Help** to cover costs of essential infrastructure, a similar mechanism can hold when there are costs of training, and other shared intermediate inputs.

3.8 The New Growth Theory: An Emerging Fifth Approach

Motivation for the New Growth Theory

The poor performance of neoclassical theories in illuminating the sources of long-term economic growth has led to a general dissatisfaction with traditional theory. In fact, according to traditional theory, there is no intrinsic characteristic of economies that causes them to grow over extended periods of time. The literature is instead concerned with the dynamic process through which capital labor ratios approach long-run equilibrium levels. In the absence of external "shocks" or technological change, all economies will converge to zero growth. Hence rising per capita GNP is considered a temporary phenomenon resulting from a change in technology or a short-term equilibrating process in which an economy approaches its long-run equilibrium. Unsurprisingly, this body of theory fails to provide a satisfactory explanation for the remarkably consistent pace of historical growth in economies around the globe (see Chapter 4).

Any increases in GNP that cannot be attributed to short-term adjustments in stocks of either labor or capital are ascribed to a third category, commonly referred to as the **Solow residual**. This residual, despite its name, is responsible for roughly 50% of historical growth in the industrialized nations. In a rather ad hoc manner, neoclassical theory credits the bulk of economic growth to an "exogenous" or completely independent process of technological progress. Though intuitively plausible, this approach has at least two insurmountable drawbacks.

First, using the neoclassical framework, it is impossible to analyze the determinants of technological advance because it is completely independent of the decisions of economic agents. And second, the theory fails to explain large differences in residuals across countries with similar technologies. In other words, a great deal of faith has been placed in a poorly understood external process for which there is little theoretical or empirical support.

Disenchantment with traditional neoclassical models of economic growth intensified during the late 1980s and early 1990s as the Third World debt crisis escalated and it became increasingly clear that traditional theory was at a loss to explain the dramatic disparities in economic performance across countries. According to neoclassical theory, the low capital-labor ratios of Third World countries promise exceptionally high rates of return on investment. The free market reforms imposed on highly indebted countries by the World Bank and the International Monetary Fund should thus have prompted higher investment, rising productivity, and improved standards of living. Yet even after the prescribed liberalization of trade and domestic markets, many LDCs experienced little or no growth and failed to attract new foreign investment or to halt the flight of domestic capital. The anomalous behavior of Third World capital flows (from poor to rich nations) helped provide the impetus for the development of a new and potential fifth approach to the economics of growth and development: the concept of **endogenous growth** or, more simply, the **new growth theory**. While still highly eclectic in nature and not quite as fully developed as the previous four approaches, the new growth theory represents a key component of the emerging 1990s development theory.

Endogenous Growth

The new growth theory provides a theoretical framework for analyzing endogenous growth, persistent GNP growth that is determined by the system **governing** the production process. In contrast to traditional neoclassical theory, these models hold GNP growth to be a natural consequence of long-run equilibrium. The principal motivations of the new growth theory are to explain both growth rate differentials across countries and a greater proportion of the growth observed.

Models of endogenous growth bear some structural resemblance to their neoclassical counterparts, but they differ considerably in their underlying assumptions and the conclusions drawn therefrom. The most significant theoretical differences stem from three factors: Models of endogenous growth discard the neoclassical assumption of diminishing marginal returns to capital investments, permit

increasing returns to scale in aggregate production, and frequently focus on the role of externalities in determining the rate of return on capital investments. And whereas technology still plays an important role in these models, it is not necessary in order to explain long-run growth.

Though the new growth theory reemphasizes the importance of savings for achieving rapid growth in the Third World, it also leads to several implications for growth that are in direct conflict with traditional theory. First, there is no force leading to the equilibration of growth rates across closed economies; national growth-rates remain constant and differ across countries depending on national savings rates and technology levels.

Furthermore, there is no tendency for per capita income levels in capital-poor countries to catch up with those in rich countries with similar savings rates. A serious consequence of these facts is that a temporary or prolonged recession in one country leads to a permanent increase in the income gap between itself and wealthier countries.

But perhaps the most interesting aspect of endogenous growth models is that they help explain anomalous international flows of capital that exacerbate wealth disparities between the First World and Third World. The potentially high rates of return on investment offered by developing economies with low capital-labor ratios are greatly eroded by lower levels of **complementary investments** in human capital (education), infrastructure, or research and development (R&D). In turn, poor countries benefit less from the broader social gains associated with each of these alternative forms of capital expenditure. Because individuals receive no personal gain from the positive externalities created by their own investments, the free market leads to the accumulation of less than the optimal level of complementary capital.

Where complementary investments produce social as well as private benefits, governments may improve the efficiency of resource allocation by providing public goods (infrastructure) or encouraging private investment.

Thus, in contrast to neoclassical counterrevolution theories, models of endogenous growth suggest an active role for public policy in promoting economic development. Though in many ways endogenous growth theory remains strongly rooted in the neoclassical tradition, it represents a departure from strict adherence to the dogma of free markets and passive governments.

Criticisms of the New Growth Theory

An important shortcoming of the new growth theory is that it remains dependent on a number of traditional neoclassical assumptions that are often inappropriate for Third World economies.

Economic growth in developing countries is frequently impeded by inefficiencies arising from poor infrastructure, inadequate institutional structures, and imperfect capital and goods markets. Because endogenous growth theory overlooks these very influential factors, its applicability for the study of economic development is limited, especially when country-to-country comparisons are involved. For example, existing theory fails to explain low rates of factory capacity utilization in low-income countries where capital is scarce. In fact, poor incentive structures may be as responsible for sluggish GNP growth as low rates of saving and capital accumulation. Allocational inefficiencies are common to economies undergoing the transition from traditional to commercialized markets. However, their impact on short- and medium-term growth has been neglected due to the new theory's overemphasis on the determinants of long-term growth rates.

3.9 Theories of Development: reconciling the Differences

In this chapter we have tried to review a wide range of competing theories and approaches to the study of economic development. Each approach has its strengths and weaknesses. The fact that there exists such controversy—be it ideological, theoretical, or empirical—is what makes the study of economic development both challenging and exciting. Even more than other fields of economics, development economics has no universally accepted doctrine or paradigm. Instead, we have a continually evolving pattern of insights and understandings that together provide the basis for examining the possibilities of contemporary development of the diverse nations of Africa, Asia, and Latin America.

You may wonder how consensus could emerge from so much disagreement. Although it is not implied here that such a consensus exists today or can indeed ever exist when such sharply conflicting values and ideologies prevail, we do suggest that something of significance can be gleaned from each of the four major approaches that we have described. For example, the linear-stages model emphasizes the crucial role that saving and investment plays in promoting sustainable long run growth. The Lewis two-sector model of structural change underlines the importance of attempting to analyze the many linkages between traditional agriculture and modern industry, and the empirical research of Chenery and his associates attempts to document precisely how economies undergo structural change while identifying the numeric values of key economic parameters involved in that process. The thoughts of international dependence theorists alert us to the importance of the structure and workings of the world economy and the many ways in which decisions made in the developed world can affect the lives of millions of people in the developing

world. Whether or not these activities are deliberately designed to maintain the Third World in a state of dependence is often beside the point. The fact of their very dependence and their vulnerability to key economic decisions made in the capitals of North America, Western Europe, or Japan (not to mention those made by the IMF and the World Bank) forces us to recognize the validity of many of the propositions of the international-dependence school. The same applies to arguments regarding the dualistic structures and the role of ruling elites in the domestic economies of the Third World.

Although a good deal of conventional neoclassical economic theory needs to be modified to fit the unique social, institutional, and structural circumstances of Third World nations, there is no doubt that promoting efficient production and distribution through a proper, functioning price system is an integral part of any successful development process. Many of the arguments of the neoclassical counterrevolutionaries, especially those related to the inefficiency of state-owned enterprises and the failures of development planning and the harmful effects of government-induced domestic and international price distortions are as well taken as those of the dependence and structuralist schools. By contrast, the unquestioning exaltation of free markets and open economies along with the universal disparagement of public sector leadership in promoting growth with equity in the Third World is open to serious challenge. As we shall discover all too often in Parts H, III, and IV, successful development requires a skillful and judicious balancing of market pricing and promotion, where markets (an indeed exist and operate efficiently, along with intelligent and equity-oriented government intervention in areas where unfettered market forces would lead to undesirable economic and social outcomes.

Finally, although still in its formative stage, the new growth theory is contributing to a better theoretical understanding of the divergent long-run growth experiences of the developed and developing worlds by focusing on the principal sources of endogenous economic growth. Though steeped in the neoclassical tradition, these new models modify and expand the assumptions of traditional growth theory to help explain the observed patterns of growth among nations. Perhaps most important, they restore a significant role for government policy in promoting long-run growth and development. We will examine the many lessons of this historical growth experience in Chapter 4.

In summary, each of these approaches to understanding development has something to offer. Their respective contributions will become clearer later in the book when we explore in detail both the

origins of and possible solutions to a wide range of problems such as poverty, population growth, unemployment, rural development, international trade, and the environment.

Chapter four

Historic Growth and Contemporary Development: Lessons and Controversies

Introduction

Today, countries of the world are divided into rich (developed) countries and poor (developing) countries. There is a wide gap between the rich and the poor countries. The statement that “the rich nations get richer and the poor countries get poorer” has **become popular in the literature in world poverty**. But what are the explanations for the poor performance of the developing countries? There are two approaches to explain the determinants of economic development;

- the traditional approach and
- The institutional approach.

4.1 Traditional Approach to Development

The traditional approach to development assumes that economic development is determined by economic factors or Traditional factors

- Natural Resources
- Capital Accumulation
- Organization
- Division of labour and scale of production
- Technology
- Let's see each of the major economic factors

a) Natural Resources

The principals' factor affecting the development of an economy is the natural resources. “**Land**” includes natural resources such as fertility of land, its situation and composition, forest wealth, minerals, climate, water resources, sea resources, geographical proximity with rich countries etc. For growth, the existence of natural resources in abundance is essential. A country which is **deficient** in natural resources will not be in a position to develop rapidly. **In LDCs**

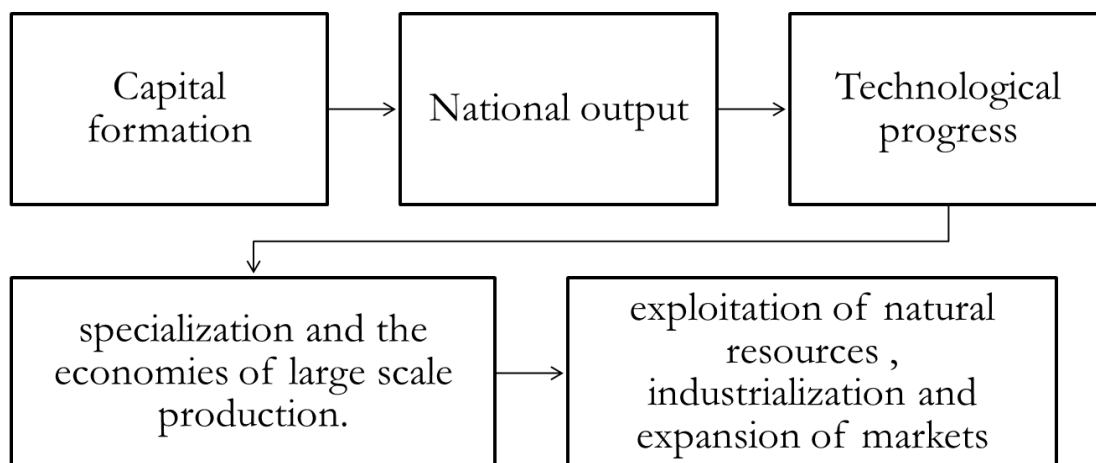
- Natural resources are unutilized, underutilized or mis-utilized.
- This is one of the reasons for their backwardness.

Note: The presence of natural resources is not sufficient for economic growth. What is required is their proper exploitation. Economic growth is possible even when an economic is deficient in natural resources. As pointed out by Lewis,

*“A country which is considered to be poor in resources today may be considered very rich in resources at some later time, not merely because unknown resources are discovered, but equally because **new uses** are **discovered** for the known resources.”* Example: Japan

b) Capital Accumulation

Capital is the stock of physical reproducible factors of production. When increases with the passage of time, it is called capital accumulation or capital formation. Capital formation is investment in capital goods that leads to increase in capital stock, national output and income, which is the key to economic development. **Capital formation** reflects effective demand and it creates productive efficiency for production. It possesses special importance to LDCs.



c) Organization

Organization is an important part of the growth process. It relates to the optimum use of factor of production economic activities. It is complement to capital and labour and helps in increasing their product activities.

In modern economic growth, the entrepreneur has been performing the task of an organizer and undertaking risks and uncertainties. The underdeveloped countries lack entrepreneurial activity. Such factors as the small size of the market, capital deficiency, absence of private property and contract, lack of skilled and trained labour, non-availability of adequate raw materials and

infrastructural facilities like transport, power, etc increase risk and uncertainties. That is why such countries lack entrepreneurs.

d) Technological Progress

Technological Progress is the most important factor in the process of economic growth. They are related to changes in the methods of production, which are the result of some new techniques of research or innovation. Changes in Technology lead to increase in productivity of labour, capital and other factors of production.

e) Division of labour and scale of production

Specialization and division of labor lead to an increase in productivity. They lead to economies of large scale production which further help in industrial development. Adam Smith states that Division of labour leads to improvement in the productive capacities of labour.

- Every laborer becomes more efficient than before.
- S/he saves time.
- S/he is capable of inventing new machines and process in production.
- Ultimately production increases manifold.

But division of labour depends upon the size of the market. The size of the market, in turn, depends upon economic progress, when the scale of production is large there is greater specialization and division of labour. As a result production increases and the rate of economic progress is accelerated. Underdeveloped countries are unable to take advantage of the economics of division of labour and large scale production. This is due to the presence of market imperfections, which in turn keep the size of the market small.

4.2 Institutional Approach to Development

The institutional approach to development is a recent phenomenon. It argues that explanations of the poor economic development are found not only in economic factors but also non-economic factors. It emphasizes importance of the institutional factors more than the economic factors. The institutional factors that determine economic performance include;

- Type of Government
- Institutions
- Social Structure of Population.

- Human Capital and Cultural Traits.

a) Type of Government

A country with a monarchy system is less likely to develop as compared with a country with a democratic government. The nature of democracy depends on the level of education, discipline, culture etc of the people. In maintaining rules, governments could be soft or strong. To maintain rules and there by prepare the ground for development, governments need be strong. To provide for the enforcement of contracts, the prevention of anarchy, and the provision of other public good, the coercive power of government is necessary. According to Olson M.,

*“Governance is a decisive determinant of economic performance and that with the right economic policy and institutions, poor countries can grow at a **very rapid rate**.” Good governance is reflected by long tem vision, correct policies and effective implementation.*

For example, in Japan the government decided what type of industries to develop after World War II. It gave emphasis to textile, iron and steel, shipbuilding etc. In recent years, the government shifted towards electronics in response to a change in world market.

b) Institutions

Availability of technology; like the capital good, complementary factors like infrastructure, highly skilled labor, innovation etc are required for an economy to grow. However, to have such technological changes requires a good institution. For example, in making innovations, there could be resistance. To calm such resistance, government effort is required. Thus, institutions that encourage technological innovation and suitability of institution for successful adoption of new ideas is an important question.

Political and cultural dynamism help in adoption of new technology, Spread of education, scientific culture is necessary for adoption of new technology . In some countries, we get a homogenous type of population. **Homogeneity** of the population leads to the development of national feelings, which is helpful for economic development for example China, Japan, Korea, Russia. On the other hand, population of a country could also be **heterogeneous** divided on the basis of language, religion, ethnicity, caste etc. In such societies, some groups play entrepreneurial role. For example, the Jews in USA.

d) **Human Capital and Cultural Traits**

The difference in per capita income among countries could be explained by human capital and cultural traits. In the DCs, human capital and cultural traits in the form of work culture, discipline, good entrepreneurship etc have played an important role. Poor countries are poor because they lack these traits. The cultural traits that perpetuate poverty are the result of centuries of social accumulation and they can't be changed quickly.

Cultural advancement according to M. Olson results in two types of human capital:

i. **Marketable human capital**

These include more skill, propensity to work harder, more entrepreneurial personality - these qualities result in increase in the quality and quantity of productive outputs. These will result in increase in income of persons, groups as well as of nations.

ii. **Civic culture:**

A civic culture leads to the election of good government which adopts good policy. It also results in a disciplined society. Corruption will be less. People pay tax.

The Historical Record: Kuznet's Six Characteristics of Modern Economic Growth

After making observations on the historic record, Simon Kuznets isolated six characteristic features manifested in the growth process of almost every developed nation.

1. High rates of per capita income and population growth
2. High rates of total factor productivity increase
3. high rates of economic structural transformation
4. High rates of social, political, and ideological transformation
5. International economic outreach
6. Limited international spread of economic growth

(1) High rate of per capita output and population growth

For the capitalist developed countries, annual growth rates over the past **200** years averaged 2% for per capita output, 1% for population and 3% for total output (real GNP). **These rates**, which imply a doubling time of roughly

- 35 years for per capita output,

- 70 years for population and
- 24 years for real GNP, were far greater than what was experienced in the pre – industrial revolution period.

These countries experienced large multiples of their previous historical rates in recent times.

(2) High rate of productivity

Increase relatively high rate of rise in total factor productivity (output per unit of all inputs) was observed in these countries' growth. Technological progress (including the upgrading of existing physical and human resources) accounts for the historical increase in the per capita output of these nations

(3) High rate of economic structural transformation

Economic structural transformation refers to the gradual shift away from the agricultural to non-agricultural activities and away from small family and personal enterprises to impersonal organizations of huge national and multinational corporations. In the contemporary developed nations, there was a high rate of structural and sectoral change inherent in the growth process.

(4) High rates of social, political and ideological transformation

Transformations in attitudes, institutions, and ideologies are often necessary to bring an ideal structural change. Examples include the urbanization process and modernization ideals which include;

- i. **Rationality;** the substitution of modern methods of thinking, acting, producing, distributing and consuming for age old traditional practices
- ii. **Economic planning;** the search for a rationally coordinated system of policy measures that can bring about an accelerated economic growth and development
- iii. **Social and economic equalization;** the promotion of more equality in status, opportunities, wealth, income and levels of living
- iv. **improved institutions and attitudes;** Improved institutions will be necessary to increase labor efficiency, promote effective competition, social and economic mobility etc

5) International economic outreach

Rich countries reached out to the rest of the world in search of; primary products, raw materials and cheap labor and further to find markets for their products. Such **outreach** was made possible by technological advances in transport and communication. This had the effect of unifying the globe and bringing out the socioeconomic and political domination of the poor nations by the rich nations. E.g. colonialism and neo- colonialism

(6) Limited international spread of economic growth;

There are even widely seen tendencies where the rich grow at the expense of the poor.

The Limited Value of the Historical Growth Experience: Differing Initial Conditions

Economic growth theories and models were based up on the experience of the west and, hence, they gave too little emphasis to the very different and less favorable initial economic, social and political conditions currently available for developing countries. At least eight significant differences may be identified in the initial conditions;

The Limited Value of the Historical Growth Experience: Differing Initial Conditions

1. Physical and human resource endowments
2. Relative levels of per capita income and GNP
3. Climatic differences
4. Population size, distribution, and growth
5. The historical role of international migration
6. The growth stimulus of international trade
7. Basic R&D capabilities
8. Stability and flexibility of political and social institutions
 - Are living standards converging?

Chapter Five

Poverty, Inequality, and Development

5. Measuring Inequality and Poverty

In this section, we define the dimensions of the income distribution and poverty problems and identify some similar elements that characterize the problem in many developing nations. But first we should be clear about what we are measuring when we speak about the distribution of income and absolute poverty.

5.1 Measuring Inequality

Economists usually distinguish between two principal measures of income distribution for both analytical and quantitative purposes: the personal or size distribution of income and the functional or distributive factor share distribution of income.

Personal or size distributions

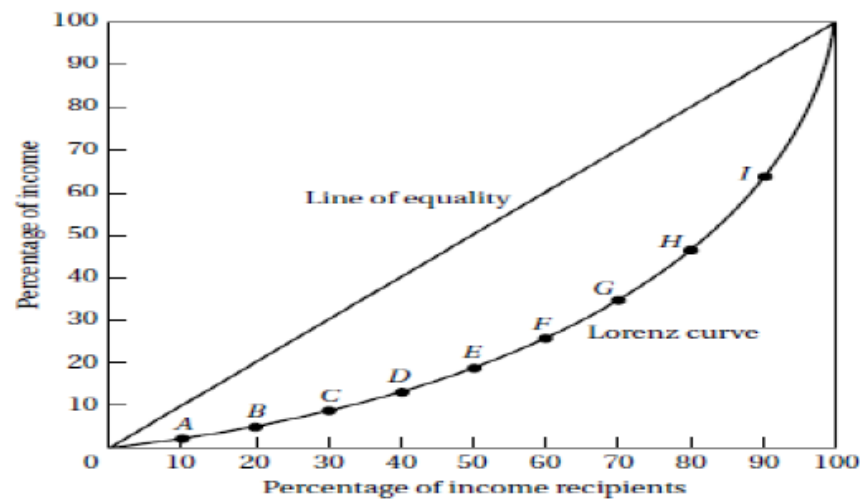
The personal or size distribution of income is the measure most commonly used by economists. It simply deals with individual persons or households and the total incomes they receive. The way in which that income was received is not considered. What matters is how much each earns irrespective of whether the income was derived solely from employment or came also from other sources such as interest, profits, rents, gifts, or inheritance. Moreover, the locational (urban or rural) and occupational sources of the income (e.g., agriculture, manufacturing, commerce, services) are ignored.

Economists and statisticians like to arrange all individuals by ascending personal incomes and then divide the total population into distinct groups, or sizes. A common method is to divide the population into successive **quintiles (fifths)** or **deciles (tenths)** according to ascending income levels and then determine what proportion of the total national income is received by each income group.

Lorenz Curves: Another common way to analyze personal income statistics is to construct what is known as a **Lorenz curve**. The numbers of income recipients are plotted on the horizontal axis, not in absolute terms but in *cumulative percentages*. For example, at point 20, we have the lowest (poorest) 20% of the population; at point 60, we have the bottom 60%; and at the end of the axis, all 100% of the population has been accounted for. The vertical axis shows the share of total income received by each percentage of population. It is cumulative up to 100%, meaning that both axes are the same length.

At every point on the diagonal, the percentage of income received is *exactly equal* to the percentage of income recipients. In other words, the diagonal line is representative of “perfect equality” in size distribution of income. Each percentage group of income recipients is receiving that same percentage of the total income; for example, the bottom 40% receives 40% of the income, while the top 5% receives only 5% of the total income.

FIGURE 5.1 The Lorenz Curve

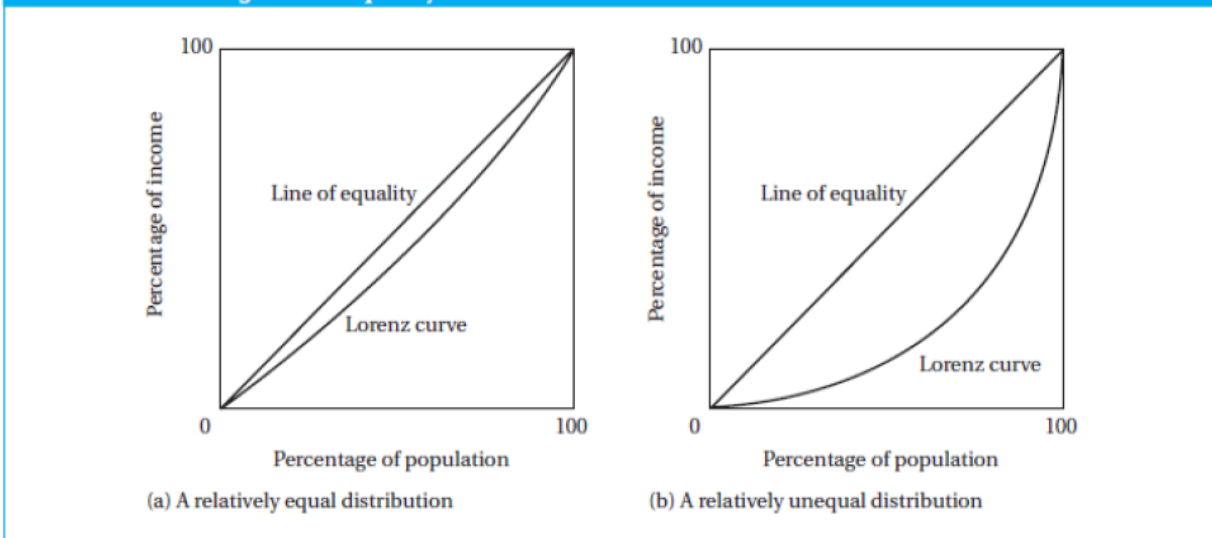


The Lorenz curve shows the *actual* quantitative relationship between the percentage of income recipients and the percentage of the total income they did in fact receive during, say, a given year. In Figure 5.1, we have plotted this Lorenz curve using the decile data contained in Table 5.1. In other words, we have divided both the horizontal and vertical axes into ten equal segments corresponding to each of the ten decile groups. Point A shows that the bottom 10% of the population receives only 1.8% of the total income, point B shows that the bottom 20% is receiving 5% of the total income, and so on for each of the other eight cumulative decile groups. Note that at the halfway point, 50% of the population is in fact receiving only 19.8% of the total income.

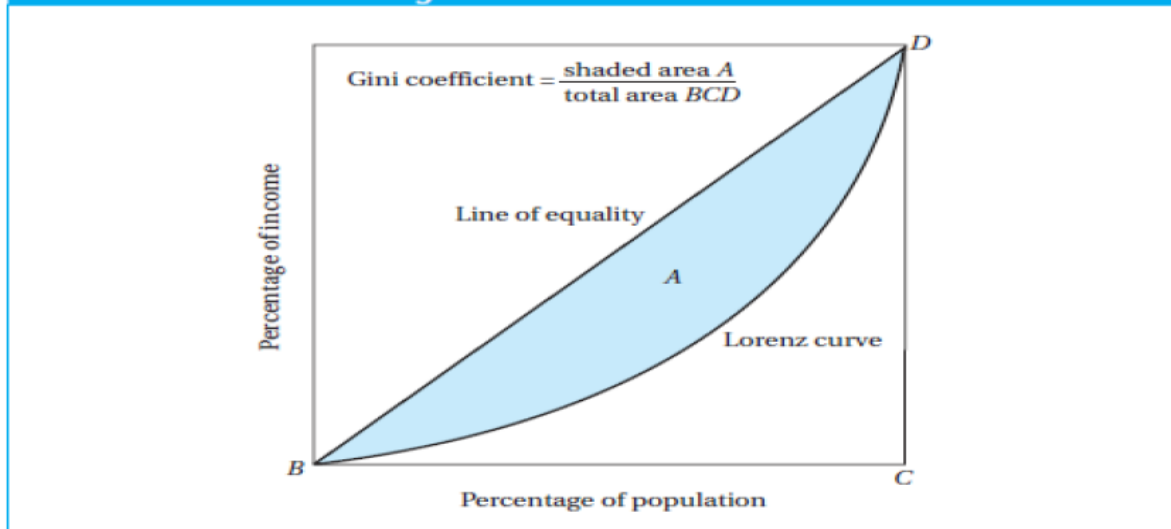
The more the Lorenz line curves away from the diagonal (line of perfect equality), the greater the degree of inequality represented. The extreme case of perfect inequality (i.e., a situation in which one person receives all of the national income while everybody else receives nothing)

would be represented by the congruence of the Lorenz curve with the bottom horizontal and right hand vertical axes. Because no country exhibits either perfect equality or perfect inequality in its distribution of income, the Lorenz curves for different countries will lie somewhere to the right of the diagonal line. The greater the degree of inequality, the greater the bend and the closer to the bottom horizontal axis the Lorenz curve will be. Two representative distributions are shown in Figure 5.2, one for a relatively equal distribution (Figure 5.2a) and the other for a more unequal distribution (Figure 5.2b).

FIGURE 5.2 The Greater the Curvature of the Lorenz Line, the Greater the Relative Degree of Inequality



c) Gini Coefficients and Aggregate Measures of Inequality: obtained by calculating the ratio of the area between the diagonal and the Lorenz curve divided by the total area of the half square in which the curve lies. In Figure 5.3, this is the ratio of the shaded area *A* to the total area of the triangle *BCD*. This ratio is known as the *Gini concentration ratio* or **Gini coefficient**, named after the Italian statistician who first formulated it in 1912.

FIGURE 5.3 Estimating the Gini Coefficient

Gini coefficients are aggregate inequality measures and can vary anywhere from 0 (perfect equality) to 1 (perfect inequality). The Gini coefficient for countries with highly unequal income distributions typically lies between 0.50 and 0.70, while for countries with relatively equal distributions; it is on the order of 0.20 to 0.35.

The Gini coefficient is among a class of measures that satisfy four highly desirable properties. These are:

1. **Anonymity principle** - our measure of inequality should not depend on who has the higher income; for example, it should not depend on whether we believe the rich or the poor to be good or bad people.
2. **Scale independence principle**- our measure of inequality should not depend on the size of the economy or the way we measure its income; for example, our inequality measure should not depend on whether we measure income in dollars or in cents or in birr or for that matter on whether the economy is rich on average or poor on average—because if we are interested in inequality, we want a measure of the dispersion of income, not its magnitude.
3. **Population independence principle**- states that the measure of inequality should not be based on the number of income recipients. For example, the economy of China should be considered no more or less equal than the economy of Vietnam simply because China has a larger population than Vietnam.
4. **Transfer principle (Pigou-Dalton principle)**- states that, holding all other incomes constant, if we transfer some income from a richer person to a poorer person (but not so much

that the poorer person is now richer than the originally rich person), the resulting new income distribution is more equal.

Functional Distributions

The second measure of income distribution used by economists, the **functional** or **factor share distribution of income**, attempts to explain the share of total national income that each of the **factors of production** (land, labor, and capital) receives. Instead of looking at individuals as separate entities, the theory of functional income distribution inquires into the percentage that labor receives as a whole and compares this with the percentages of total income distributed in the form of rent, interest, and profit (i.e., the returns to land and financial and physical capital). Although specific individuals may receive income from all these sources, that is not a matter of concern for the functional approach.

5.2 Measuring Absolute Poverty

Now let's switch our attention from relative income shares of various percentile groups within a given population to the fundamentally important question of the extent and magnitude of **absolute poverty** in developing countries. Absolute poverty refers to the number of people who are unable to command sufficient resources to satisfy basic needs.

a. Headcount or headcount index

Absolute poverty is sometimes measured by the number, or "headcount," H , of those whose incomes fall below the absolute poverty line, Y_p . When the headcount is taken as a fraction of the total population, N , we define the **headcount index**, H/N . The poverty line is set at a level that remains constant in real terms so that we can chart our progress on an absolute level over time. The idea is to set this level at a standard below which we would consider a person to live in "absolute human misery," such that the person's health is in jeopardy. In many respects, however, simply counting the number of people below an agreed-on poverty line can have its limitations. For example, if the poverty line is set at U.S. \$450 per person, it makes a big difference whether most of the absolute poor earn \$400 or \$300 per year. Both are accorded the same weight when calculating the proportion of the population that lies below the poverty line; clearly, however, the poverty problem is much more serious in the latter instance.

b. Total Poverty Gap (TPG)

It measures the total amount of income necessary to raise everyone who is below the poverty line up to that line.

The TPG, the extent to which the incomes of the poor lie below the poverty line, is found by adding up the amounts by which each poor person's income, Y_i , falls below the absolute poverty line, Y_p , as follows:

$$\text{TPG} = \sum_{i=1}^H (Y_p - Y_i)$$

We can think of the TPG in a simplified way (i.e., no administrative costs or general equilibrium effects are accounted for) as the *amount of money per day it would take to bring every poor person in an economy up to our defined minimum income standards*.

On a per capita basis, the *average poverty gap* (APG) is found by dividing the TPG by the total population:

$$\text{APG} = \frac{\text{TPG}}{N}$$

Often we are interested in the size of the poverty gap in relation to the poverty line, so we would use as our income shortfall measure the *normalized poverty gap* (NPG): $\text{NPG} = \text{APG}/Y_p$; this measure lies between 0 and 1 and so can be useful when we want a unit-less measure of the gap for easier comparisons.

c. The Foster-Greer-Thorbecke (FGT) Index

We are also often interested in the degree of income inequality among the poor, such as the Gini coefficient among those who are poor, G_p , or alternatively, the coefficient of variation (CV) of incomes among the poor, CV_p . One reason that the Gini or CV among the poor can be important is that the impact on poverty of economic shocks can differ greatly, depending on the level and distribution of resources among the poor.

As was the case with inequality measures, there are criteria for a desirable poverty measure that are widely accepted by development economists. These include:

- **Anonymity principle**- our measure of the extent of poverty should not depend on who is poor.
- **Population independence principle**- our measure of the extent of poverty should not depend on whether the country has a large or small population.
- **Monotonicity principle** -if you add income to someone below the poverty line, all other incomes held constant, poverty can be *no greater* than it was.
- **Distributional sensitivity principle**-other things being equal, if you transfer income from a poor person to a richer person, the resulting economy should be deemed strictly poorer.

The headcount ratio measure satisfies anonymity, population independence, and monotonicity, but it fails on distributional sensitivity. The simple headcount fails even to satisfy the population independence principle.

A well-known poverty index that in certain forms satisfies all four criteria is the **Foster-Greer-Thorbecke (FGT) index**, often called the P_α class of poverty measures. The P_α index is given by

$$P_\alpha = \frac{1}{N} \sum_{i=1}^H \left(\frac{Y_p - Y_i}{Y_p} \right)^\alpha$$

where Y_i is the income of the i th poor person, Y_p is the poverty line, and N is the population. Depending on the value of α , the P_α index takes on different forms.

- If $\alpha = 0$, the numerator is equal to H , and we get the headcount ratio, H/N .
- If $\alpha = 1$, we get the normalized poverty gap.
- If $\alpha = 2$, the impact on measured poverty of a gain in income by a poor person increases in proportion to the distance of the person from the poverty line. For example, raising the income of a person from a household living at half the per capita poverty line by, say, one penny per day would have five times the impact on poverty reduction as would raising by the same amount the income of a person living at 90% of the poverty line. P_2 it satisfies all four of the poverty axioms.

Advantages: FGT index takes inequality among the poor into account. A transfer from a poor to an even poorer would reduce the index; a transfer from a very poor to a less poor would increase the index.

Example: Poverty line=125

Country	Income for each individual				APG	NPG	P ₂
A	100	100	150	150	12.5	10%	0.02
B	80	120	150	150	12.5	10%	0.03

Disadvantages: the index is very difficult to read and interpret.

d. Multidimensional Poverty Index

Poverty cannot be adequately measured with income. Income is imperfectly measured, but even more important, the advantages provided by a given amount of income greatly differ, depending on circumstances. To capture this idea the United Nations Development Program used its *Human Poverty Index* from 1997 to 2009.

In 2010, the UNDP replaced the HPI with its new **Multidimensional Poverty Index (MPI)**; by building up the index from the household level, the MPI takes into account that there are negative interaction effects when people have multiple deprivations—worse poverty than can be seen by simply adding up separate deprivations for the whole country, taking averages, and only then combining them. (Review our discussion in chapter one).

What is So Bad about Extreme Inequality?

Social welfare depends positively on the level of income per capita but negatively on poverty and negatively on the level of inequality. The problem of absolute poverty is obvious; no civilized people can feel satisfied with a state of affairs in which their fellow humans exist in conditions of such absolute human misery.

But why should we be concerned with inequality among those *above* the poverty line?

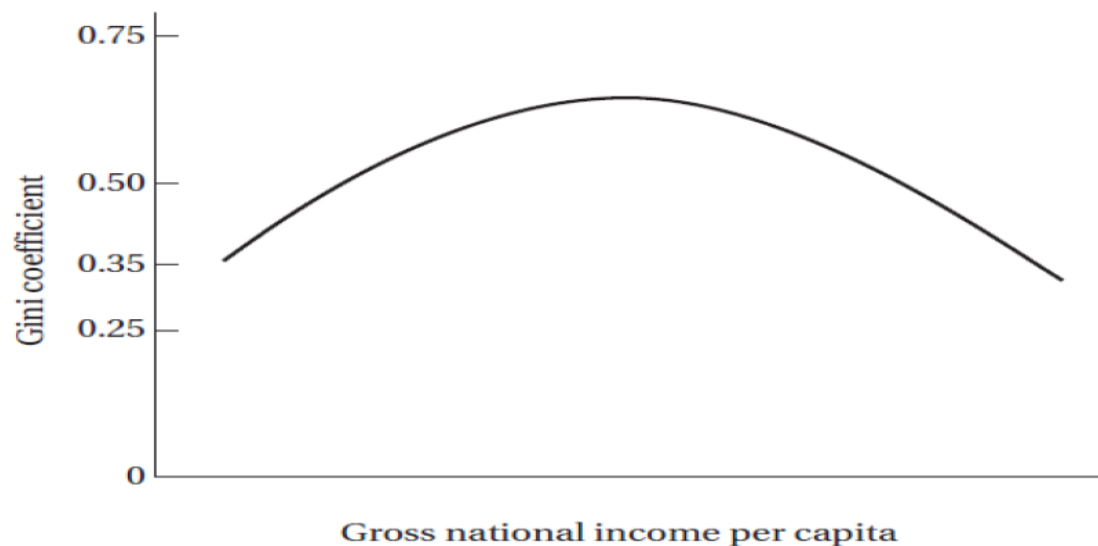
1. **Extreme income inequality leads to economic inefficiency.** This is partly because at any given average income, the higher the inequality, the smaller the fraction of the population that qualifies for a loan or other credit. Indeed, one definition of *relative poverty* is the lack of collateral. When low-income individuals (whether they are absolutely poor or not) cannot borrow money, they generally cannot adequately educate their children or start and expand a business. Moreover, with high inequality, the overall rate of saving in the economy tends to be lower, because the highest rate of marginal savings is usually found among the middle classes. Although the rich may save a larger dollar amount, they typically save a smaller fraction of their incomes, and they almost always save a smaller fraction of their marginal incomes. Landlords, business leaders, politicians, and other rich elites are known to spend much of their incomes on imported luxury goods, gold, jewelry, expensive houses, and foreign travel or to seek safe havens abroad for their savings in what is known as *capital flight*.
2. **Extreme income disparities undermine social stability and solidarity.** Also, high inequality strengthens the political power of the rich and hence their economic bargaining power. Usually this power will be used to encourage outcomes favorable to them. High inequality facilitates *rent seeking*, including actions such as excessive lobbying, large political donations, bribery, and cronyism. When resources are allocated to such rent-seeking behaviors, they are diverted from productive purposes that could lead to faster growth.
3. **Extreme inequality is generally viewed as unfair.** The philosopher John Rawls proposed a thought experiment to help clarify why this is so. You might be born as Bill Gates, but you might be born as the most wretchedly poor person in rural Ethiopia with equal probability. Rawls calls this uncertainty the “veil of ignorance.”

5.1.1 Kuznets’s Inverted-U Hypothesis

Simon Kuznets suggested that in the early stages of economic growth, the distribution of income will tend to worsen; only at later stages it will improve. Explanations as to why inequality might worsen during the early stages of economic growth before eventually improving are numerous. They almost always relate to the nature of structural change. Early growth may, in accordance with the Lewis model, be concentrated in the modern industrial sector, where employment is limited but wages and productivity are high. As just noted, the Kuznets curve could be generated by a steady process of modern-sector enlargement growth as a country develops from a traditional to a modern economy.

Alternatively, returns to education may first rise as the emerging modern sector demands skills and then fall as the supply of educated workers increases and the supply of unskilled workers falls. So while Kuznets did not specify the mechanism by which his inverted-U hypothesis was supposed to occur, it could in principle be consistent with a sequential process of economic development. But traditional- and modern-sector enrichment would tend to pull inequality in opposing directions, so the net change in inequality is ambiguous, and the validity of the Kuznets curve is an empirical question.

The “Inverted-U” Kuznets Curve



Disregarding the merits of the methodological debate, few development economists would argue that the Kuznets sequence of increasing and then declining inequality is inevitable. However, there are now enough case studies and specific examples of countries such as Taiwan, South Korea, Costa Rica, and Sri Lanka to demonstrate that higher income levels can be accompanied by falling and not rising inequality. It all depends on the nature of the development process.

5.2 Growth and Poverty

Are the reduction of poverty and the acceleration of growth in conflict? Or are they complementary? There are at least five reasons why policies focused toward reducing poverty levels need not lead to a slower rate of growth.

1. *Widespread poverty creates conditions in which the poor have no access to credit, are unable to finance their children's education, and, in the absence of physical or monetary investment opportunities, have many children as a source of old-age financial security. Together these factors cause per capita growth to be less than what it would be if there were greater equality.*
2. *Unlike the historical experience of the now developed countries, the rich in many contemporary poor countries are generally not noted for their frugality or for their desire to save and invest substantial proportions of their incomes in the local economy.*
3. *The low incomes and low levels of living for the poor, which are manifested in poor health, nutrition, and education, can lower their economic productivity and thereby lead directly and indirectly to a slower-growing economy. Strategies to raise the incomes and levels of living of the poor would therefore contribute not only to their material well-being but also to the productivity and income of the economy as a whole.*
4. *Raising the income levels of the poor will stimulate an overall increase in the demand for locally produced necessity. Rising demand for local goods provides a greater stimulus to local production, local employment, and local investment. Such demand thus creates the conditions for rapid economic growth and a broader popular participation in that growth.*
5. *A reduction of mass poverty can stimulate healthy economic expansion by acting as a powerful material and psychological incentive to widespread public participation in the development process.*

5.3 Economic Characteristics of High-Poverty Groups

- Rural Poverty
- Women and Poverty
- Ethnic Minorities, Indigenous Populations, and Poverty (for details, see Todaro & Smith 11th ed.)

5.4 Policy Options on Income Inequality and Poverty

What kinds of economic and other policies might governments in developing countries adopt to reduce poverty and inequality while maintaining or even accelerating economic growth rates?

A. Altering the Functional Distribution of Income through Relative Factor Prices

It is argued that as a result of institutional constraints and faulty government policies, the relative price of labor in the formal, modern, urban sector is higher than what would be determined by the free interplay of the forces of supply and demand. For example, the power of trade unions to raise minimum wages to artificially high levels (higher than those that would result from supply and demand) even in the face of widespread unemployment is often cited as an example of the “distorted” price of labor. From this it is argued that measures designed to reduce the price of labor relative to capital (e.g., through market determined wages in the public sector or public wage subsidies to employers) will cause employers to substitute labor for capital in their production activities. Such factor substitution increases the overall level of employment and ultimately raises the incomes of the poor, who have been excluded from modern-sector employment and typically possess only their labor services.

B. Modifying the Size Distribution through Increasing Assets of the Poor

The ultimate cause of the unequal distribution of personal incomes in most developing countries is the unequal and highly concentrated patterns of asset ownership (wealth) in these countries. It follows that the second and perhaps more important line of policy to reduce poverty and inequality is to focus directly on reducing the concentrated control of assets, the unequal distribution of power, and the unequal access to educational and income-earning opportunities that characterize many developing countries. A classic case of such redistribution policies as they relate to the rural poor is land reform. The basic purpose of land reform is to transform tenant cultivators into

smallholders who will then have an incentive to raise production and improve their incomes. Similar reforms in urban areas could include the provision of commercial credit at affordable rates (rather than through traditional, high-interest moneylenders) to small entrepreneurs (e.g. the microcredit: the Grameen Bank).

C. Progressive Income and Wealth Taxes

Any national policy attempting to improve the living standards of the bottom 40% must secure sufficient financial resources to transform paper plans into program realities. The major source of such development finance is the direct and progressive taxation of both income and wealth. Direct *progressive income taxes* focus on personal and corporate incomes, with the rich required to pay a progressively larger percentage of their total income in taxes than the poor. Taxation on wealth (the stock of accumulated assets and income) typically involves personal and corporate property taxes but may also include progressive inheritance taxes. In either case, the burden of the tax is designed to fall most heavily on the upper-income groups.

D. Direct Transfer Payments and the Public Provision of Goods and Services

The direct provision of tax-financed public consumption goods and services to the very poor is another potentially important instrument of a comprehensive policy designed to eradicate poverty. Examples include public health projects in rural villages and urban fringe areas, school lunches and pre-school nutritional supplementation programs, and the provision of clean water and electrification to remote rural areas. Direct money transfers and subsidized food programs for the urban and rural poor, as well as direct government policies to keep the prices of essential foodstuffs low represent additional forms of public consumption subsidies.